

# **The Ramco Cements Ltd. (RAMCOCEM)**

*Conference call transcripts, oldest-first. 3 call(s). Generated 2026-06-08.*

## Call: May 2023

Corporate Office:  
Auras Corporate Centre, V Floor,  
98-A, Dr. Radhakrishnan Salai , Mylapore,  
Chennai – 600 004, India.  
Phone: +91-44 28478666, Fax: +91- 44 2847867 6  
Web Site: [www.ramcocements.in](http://www.ramcocements.in)  
Corporate Identity Number : L26941TN1957PLC003566  
Registered Office: “Ramamandiram”, Rajapalayam – 626 117. Tamil Nadu  
THE RAMCO CEMENTS LIMITED

23 May 2023

National Stock Exchange of India Limited,  
Exchange Plaza,  
Bandra- Kurla Complex,  
Bandra (E), Mumbai – 400 051.  
Scrip Code: RAMCOCEM  
BSE Limited,  
Floor 25, “P.J.Towers”,  
Dalal Street,  
Mumbai – 400 001.  
Scrip Code: 500260

Dear Sir,

Sub: Transcript of the Audio Recording of Conference Call to discuss the audited results of FY23

Ref: Disclosure under Clause 15(b) of Para A, Part A of Schedule III, read with Regulation 30 of SEBI (LODR) Regulations, 2015.

In continuation of our letter dated 19th May 2023, providing you the weblink of the Audio Recording of Conference Call with respect to the audited results of FY23, held on 19.05.2023, organised by Batlivala & Karani Securities India Pvt. Ltd, we attach the transcript of the conference call and the same is also made available at –

[https://ramcocements.in/cms/uploads/Transcript\\_Q4\\_FY\\_23\\_TRCL\\_caf13bc07a.pdf](https://ramcocements.in/cms/uploads/Transcript_Q4_FY_23_TRCL_caf13bc07a.pdf)

Thanking you,

Yours faithfully,  
For THE RAMCO CEMENTS LIMITED,

K.SELVANAYAGAM  
SECRETARY

Encl: as above

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“The Ramco Cements Limited Q4 Earnings Conference Call”

May 19, 2023

MANAGEMENT : MR. P.R.V ENKETRAMA RAJA -- MANAGING  
DIRECTOR , THE RAMCO CEMENTS  
MR. A.V. DHARMAKRISHNAN – CHIEF EXECUTIVE  
OFFICER , THE RAMCO CEMENTS  
MR. S. VAITHIYANATHAN – CHIEF FINANCIAL  
OFFICER , THE RAMCO CEMENTS  
MODERATOR : MR. AMIT SRIVASTAVA – BATLIVALA & KARANI  
SECURITIES INDIA PRIVATE LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the Ramco Cement Limited Q4 FY23 Earnings Conference Call hosted by Batlivala & Karani Securities India Private Limited.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "\*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Amit Srivastava from Batlivala & Karani Securities India Private Limited. Thank you, and over to you, sir.

Amit Srivastava : Thank you. Good afternoon, everyone. On behalf of B&K Securities, welcome you all to the 4QFY23 Earnings Conference Call of The Ramco Cements. We have with us from the management, Mr. P.R.V enketrana Raja – Managing Director; Mr. A.V. Dharmakrishnan – CEO; Mr. S. Vaithiyanathan – CFO.

We would start the call with the "Opening Remarks" from the Management, which will be followed by Q&A. Over to you, sir.

P.R.V. Raja : Good evening, everybody. I warmly welcome you all to the Earnings Call of Ramco Cements and discuss the Audited Results of Quarter 4 Financial Year '23. Thank you for taking the time to join us for the call. We hope all of you have seen our results and updates. I would like to summarize the key highlights of our performance for the Quarter 4 Financial Year '23:

Sales volumes for the quarter ended 31st March 2023 stands at 4.7 million tons as against 3.23 million tons during the corresponding previous period with a growth of 46 %. Revenue for the quarter ended 31st March 2023 increased year-on-year from Rs. 1,719 crores to Rs. 2,581 crores. Revenue for the quarter ended 31st March 2023 surpassed Rs. 2,500 crores for the first time per quarter. EBITDA for the quarter has increased year-on-year from Rs. 305 crores to Rs.424 crores in the Quarter 4 Financial Year '23 with a strong volume growth of 46%.

During the 4th Quarter Financial Year ' 23, blended EBITDA per ton is Rs. 917 compared to Rs. 956 in Quarter 4 Financial Year 2022. Profit before tax for Quarter 4 Financial Year '23 is Rs.207 crores as against Rs. 164 crores during the Quarter 4 Financial Year 2022 with a growth of 26%.

We have commissioned the line 3 kiln of 1 MTPA and a dry motor unit of 1 LTPA in our R.R. Nagar unit in March '23. The infrastructure facility like 4 MW WHRS, 18 MW TPP and Railway siding in our Kolimigundla plant, the limestone beneficiation in R.R. Nagar are to be completed during the Financial Year' 24. Additional grinding capacity of 0.9 million tons in Odisha will be commissioned in Financial Year' 24. Other units of dry mortar units in Odisha and Jayanthipuram will also be completed in the Financial Year '24.

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Current demand for cement is good in the individual homebuilder segment as well as the infrastructure segments. The cement demand in the medium term is expected to be resilient in view of the common focus on the infrastructure spend and upcoming elections and the forecast of normal monsoon for 2023.

The profitability of the cement business was challenging in the last few quarters in view of high fuel prices for such a long time . The CIF spot rate for pet coke was at \$178 in February '23, and has been softening from then on. Now the current price stands at around \$125 per ton. The margins are expected to improve from Quarter 2 Financial Year '24.

Thank you very much for your patience, and I would like to now start the question -and-answer session. Mr. Dharmakrishnan – our CEO will handle the question and answers along with our CFO.

Moderator : We will now begin with the question -and-answer session. We take our first question from the line of Shravan Sha

h from Dolat Capital. Please go ahead, sir.

Shravan Shah : First of all, congratulations on the super numbers, particularly on the volume growth. Sir just wanted first clarification. R.R. Nagar clinker line, so the clinker capacity that we are mentioning 14.99, I think previously, our stand was it will be a replacement of old kiln and only 0.35 million tons new capacity will be added net-net. So, are we also maintaining the old kiln and the new line added for both together? Therefore, that is the first. In addition, we did not previously mention 1 million ton grinding unit at R. R. Nagar and this quarter suddenly, we see addition of 1 million ton. So, just needed clarification on that.

A.V. Dharmakrishnan : As far as R.R. Nagar is concerned, we keep our option open to continue the second line also. With regard to Line II Kiln, either we can operate, or we can discontinue. However, as of now, we want to operate. With regard to 1 MTPA cement capacity, this has been created by debottlenecking the existing infrastructure.

Shravan Shah : Sir, also just wanted to understand in terms of if you can share the clinker production for FY23 and Q4 and the cement production? In the sense, I want to understand the CC ratio. So, how much more growth we can see in FY24 and '25 on the volume front?

A.V. Dharmakrishnan : You want for the whole year or only for the quarter?

Shravan Shah : I need for both, clinker and cement production.

A.V. Dharmakrishnan : See, the clinker production is 11.87 million tons. This is for the year.

Shravan Shah : And cement production?

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A.V. Dharmakrishnan : Our cement production is 14.86 million tons.

Shravan Shah : So, then broadly, it works out around the same 1.25 CC ratio, which normally we have for last 3-4 years. So, just trying to understand how much more volume growth we can see. So, even for this quarter also, to achieve this at our blended level, we have mentioned that for Kurnool clinker, it is 85 % utilization. To achieve this 4.7 million volume, the other kiln should be working more than 100% utilization. In the case of net-net for FY24, how one can look at the volume growth considering the 1.25 to 1.3 CC ratio.

A.V. Dharmakrishnan : See, our cement capacity for R.R. Nagar, whatever we complete it will be around 22 million tons. To backup that, we have clinker capacity for the same whatever conversion ratio we are talking about.

Shravan Shah : Sorry, sir, I didn't get.

A.V. Dharmakrishnan : See, our cement capacity is 22 million tons. With the conversion ratio, whatever you mentioned, we have backup clinker capacity.

Shravan Shah : Now the other question on the CAPEX front. So, for '24 and '25, so considering previously, we were looking at expansion at Karnataka also. So, when can we start the new expansion CAPEX ?

And without that also, previously, we mentioned Rs. 892 crore CAPEX for FY24. So, what is the stand? And accordingly, how do we see the net debt for FY24.

A.V. Dharmakrishnan : See, whatever guidance we have given earlier that will continue. So, unless you people advise me, because of good growth you want me to expand at the earliest, we will do that.

Moderator : We will take the next question from the line from Noel Vaz from Union Asset Management. Please go ahead, sir.

Noel Vaz : Just to confirm, just regarding the volume guidance for FY24 and '25, so currently, we have seen very strong numbers for FY23. So, what kind of growth should we expect. I think last time we had guided for roughly about low double-digit kind of a number.

A.V. Dharmakrishnan : So, internally, we have growth target of 30% for the year FY'23-24.

Noel Vaz : Just one more thing is, so the company has been able to deliver a much stronger growth in the industry level, both at the end of 4th Quarter as well as in your guidance as well. So, what exactly is going to enable Ramco to grow the industry to such a large extent? I just want to know the factor as well.

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A.V. Dharmakrishnan : See, 4 things happened. Number 1, we had the capacity. Number 2, the demand was very strong. Number 3, we created necessary infrastructure to service this. That is in the last 3-4 quarters, repeatedly I was telling we invested so much money to create the infrastructure to service this kind of spurt in demand. See, you know very well, we are also promoting what is called the right cement for the right application. Nearly 12 types of cement we are manufacturing. That caught up very well. So, wherever we are giving our cement, that is accepted very well. So, because we are able to tailor-made and we meet the requirements of different customers, we are able to get repeat orders, so the growth is really good. So, whatever we had said in the last 3 quarters that everything falls in line this quarter.

Moderator : We take the next question from the line of Mr. Satyadeep Jain from Ambit Capital. Please go

ahead, sir.

Satyadeep Jain : A couple of questions. You're guiding us to 20% volume growth, which implies almost 18 million tons sales in FY24. You also mentioned the right cement for right application. Given there is so many varieties of cement being produced, does it limit your capacity of 22 million tons to something below 22 million tons? And tied to that would be, would it basically mean that you need to look at some capacity expansion in FY25, FY 26 to build some volume growth there?

A.V. Dharmakrishnan : You might have seen our conversion ratio. See, the right cement for the right application, we are doing for last almost 1.5 years. You might have seen consistency in conversion ratio to the extent it will not limit our capacity utilization. See, whatever capacity utilization we are doing, 22 million ton definitely is achievable . Given the demand and the capacity utilization, we have to definitely go for expansion. So, we will time it and we will let you know.

Satyadeep Jain : Just a small clarification. Next leg of growth would be Karnataka greenfield or could there be a brownfield, either it can be in Kurnool?

A.V. Dharmakrishnan : First, we will take up the Kurnool second line, then we will go to Kar nataka because Karnataka, we have to buy the land whereas in Kurnool, we have everything ready, all the infrastructure is ready. What is needed is you have to put 4 equipments, that is raw mill, coal mill, kiln and one cement mill , that's all. Otherwise, a ll other infrastructures are ready. So, first, definitely we will go for Kurnool second line. Then we will go for Karnataka. In the meantime, just I want to tell you, Karnataka we got necessary approval for land purchase , now we started buying the land.

Satyadeep Jain : And the second line possibly before it comes, railway siding would be up and running, I'm guessing before that?

A.V. Dharmakrishnan : Yes, it is possible. See, now we are also creating capability even without railway siding how to service th e second line. Also, we are creating necessary facilities for that. Definitely, railway

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siding is going to be helpful, but our expansion is not dependent upon railway siding. It's not very constrained because of that. But the railway siding is also progres sing fast. Since it is long almost 25 kilometers , taking little time. But definitely, railway siding will help us at least in transport of coal and all these things. But our marketing of cement is not going to depend upon railway siding.

Satyadeep Jain : Second question was on cash flow. So, given, let's say, you do decide to go ahead with Kurnool second phase, would there be an upside to the CAPEX target we discussed for FY24? And there was very strong performance in the working capital cycle where receivab le days and

inventory

days shrunk. Is that sustainable going into FY24, this lean working capital cycle?

A.V. Dharmakrishnan : Once we finalize that, we will come back to you.

Moderator : We take the next question from the line of Mr. Prateek Kumar from Jeff eries. Please go ahead, sir.

Prateek Kumar : Congrats for great results. My first question is a data question. So, we have reported our volume numbers including dry mortar. So, what is the contribution of dry mortar in the volume for 3Q and 4Q?

A.V. Dharmak rishnan : See, dry mortar volume . For the who le year is 0.2 million i.e 2 lakh tons; for the quarter is around 70,000 tons.

Prateek Kumar : My other question is on your Northeast foray. So, we have been also trying to sell volumes in Northeast as we understand. So, how much of the non -South 25% would be Northeast volumes for us?

A.V. Dharmakrishnan : See, yes, same, around 25%, Whatever in the first 3 quarters, we are maintaining that nothing changed in that.

Prateek Kumar : So, I'm asking specifi cally on the Northeast which is other than East.

A.V. Dharmakrishnan : The Northeast includes East, It all depends upon price realization, cost, all these things we are talking. So, mostly Northeast, you are only servicing non -trade orders, not trade orders , Northeast, okay. To that extent , it does not matter whether Northeast or East because whenever we get good realization, then definitely we can go up to Arunachal Pradesh, Sikkim, and all these places.

Prateek Kumar : And then we are versus our peak debt of Rs. 4,700 crores, we are off like around Rs. 400 crores, something that we also talked about during the interaction in one of the quarters. So, what would be our target net debt like for the next year, what we are looking at?

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A.V. Dharmakrishnan : We wou ld see the growth as well debt reduction.

Moderator : We take the next question from the line of Amit Murarka from Axis Capital. Please go ahead,

sir.

Amit Murarka : Congratulations on a great number. Just a couple of questions. Firstly, on volume target of 20% growth, as I understand, your clinker utilization was about 75% in FY23. So, this would take the utilization to almost 90% in FY24. So, like what are the growth plans? Because for FY25, then probably we will need more capacity to kind of participate in the growth after '24?

A.V. Dharmakrishnan : I told you, we have growth plans. We have plans to expand our Kurnool second line. Then we will put up the plant in Karnataka also. So, the exact timing, definitely, we will let you know.

As soon as the Board has taken a decision, definitely we will let you know.

Amit Murarka : And the CAPEX, like as of now, what is the CAPEX for '24? Like you had earlier guided for Rs 850 crores I think in the prior Q4 quarter call.

A.V. Dharmakrishnan : Yes, around Rs. 800 to Rs. 850 crores.

Amit Murarka : And just the third question is on R.R. Nagar upgradation. Like post upgradation, what is the capacity there? Like there is slight confusion on the capacity number.

A.V. Dharmakrishnan : 3 million tons cement because there we make 100% PPC and 2.2 million tons clinker.

Amit Murarka : So, if I am not mistaken, earlier I think the plan was to kind of scrap one of the older units and then bring this unit in its place. So, now you are still running the older unit now, is it?

A.V. Dharmakrishnan : Yes. See, second plant we thought of shutting down. We are keeping our options open now. As of now, we have plans to run it.

Moderator : The next question is from the line of Mr. Rajesh Kumar Ravi from HDFC Securities. Please go ahead, sir.

Rajesh Kumar Ravi : Sir, the volume guidance is 20%. I see in FY23, you have delivered strong growth both in trades and non-trades. In terms of volume, you would have grown by around 60%. So, any thought on increasing your blending ratio or the trade sale which is blended

cement which is 70%. Will you

see this number going up in FY24? Or you would be mostly targeting aggressively the non-trade market?

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A.V. Dharmakrishnan : So, we will try to meet it. Even though we have aggressively done in Q4, even though it's very aggressive growth, the blended ratio is same. Maybe 1% or 2% here and there can be there.

There will not be a major deviation.

Rajesh Kumar Ravi : So, this 70% is what you are comfortable, or you are looking this to go to 75%, 80% in next 1-2 years?

A.V. Dharmakrishnan : No, it is depending upon markets. See, I can't give you a particular number. These are depending upon market. If the trade grows, definitely I'll go for more trade growth. If the trade does not grow, then if nontrade grows, there also we are there. It all depends upon price, cost and where we can have the growth.

Rajesh Kumar Ravi : And sir, currently March end, your CWIP stands at Rs. 2,000 crores, most of your ongoing projects are already done. And only few projects are up for execution. So, what is this Rs. 2,000 crore CWIP pertaining to majorly?

A.V. Dharmakrishnan : Mainly balance works like TPP & Railway Siding etc. in Kurnool, R.R. Nagar beneficiation system, dry mortar expansion, Budawada mines railway siding and crusher etc.

Rajesh Kumar Ravi : And sir, 1 or 2 questions. You have seen that you have done phenomenally good on ramping up your green power usage. Last year, you had targeted 70% of your clinkerisation electricity requirement will be met through green power. I think we have still to go or you have achieved closer to that number.

A.V. Dharmakrishnan : Not for entire company, I told you for Andhra Pradesh. See, what I told, Andhra Pradesh already 70% to 80% of the clinker is green power. That is waste heat recovery. Tamil Nadu, what I told we have wind power, which are all almost 175 megawatts we have. If you see the plant load factor it is around 40 megawatts. So, far they used to sell the power, now they are converting into captive consumption. At the year-end, by '24, the green power would be around 34% for the total cement and after that, the total for cement would be 34%.

Rajesh Kumar Ravi : Sir, alternate fuel usage, last year you did very good, but in FY23, that share came down from 20% to 13%

A.V. Dharmakrishnan : The cost has gone up more than the coal, so we stopped using that.

Rajesh Kumar Ravi : So, it's more than the coal that are you purchasing.

A.V. Dharmakrishnan : Yes. If everybody goes to that place, then the cost goes up. So, now we have to see alternate to alternates.

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Rajesh Kumar Ravi : Sir, lastly on the leverage, what is your comfort level at which you would want to operate, net debt to EBITDA?

A.V. Dharmakrishnan : I will have an open conference with you. Whatever you suggest, we will follow that. If I say something, sometimes people are getting upset. Whatever is comfortable to me is not comfortable to you. So, I will go there. Let us have an open house. Whatever you people suggest, we will carry it out.

Moderator : We take the next question from the line of Mr. Pankaj Tibrewal from Kotak Mutual Funds.

Please go ahead, sir.

Pankaj Tibrewal : First of all, congratulations on a good set of results. I have 2 questions. The first one is on the cash flows. We have seen a very strong generation of OCF this year. And a part of that was also because we released some money out of working capital. Can you help us understand from an overall cash flow perspective, how should we look at from FY24 perspective, in terms of CAPEX and in terms of debt deleveraging? I heard you that between CAPEX and growth and deleveraging still you haven't made up your mind. But any thoughts on that will be appreciated. Then I will come to my second question.

A.V. Dharmakrishnan : The market is very dynamic, Pankaj. So, I have to blend both. Suppose if I look at only debt

deleveraging and if I don't take part in the growth, then you'll tell me, everybody else is in growth path, you don't have a growth path. At the same time, if I don't deleverage, yes, people can say, okay, for this capacity others are having so much debt, but your debt is higher. So, we are taking a very, very conscious step to how to balance that. So, definitely you might have seen, whatever efforts I explained to you in person, I explained to you in many of my meetings, whatever efforts we are making in promoting our new products and all these things will give good results. Last 2 quarters, definitely, we have done excellent job in that and coming quarters also, we are expecting that good growth and good realization is bound to come. See, definitely next year I have CAPEX plan of Rs. 800 crores, I can't reduce that. See, the balance amount as of now, I have plans to deleverage it. If the demand is so good, I have no option but to expand. Definitely, I will come there, discuss with you people, explain to you, then we will take a decision.

Pankaj Tibrewal : Will there be scope for release from working capital? Because the pet coke prices have started to come down.

A.V. Dharmakrishnan : Yes, definitely possible. Not big money, Rs. 100 crores to Rs. 200 crores is possible. Also, I told you that we are also planning to sell some surplus land. Some progress is made. I don't say great progress is made; some progress is made. Here and there we are able to find some buyers for the small parcel of lands.

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Pankaj Tibrewal : But is there a scope for non-core assets to be disposed?

A.V. Dharmakrishnan : Non-core asset is only land.

Pankaj Tibrewal : And that can be disposed off to fund a part of your land acquisition. Is that understanding correct?

A.V. Dharmakrishnan : Yes.

Pankaj Tibrewal : Second one is sir, when I look at your return on capital post tax, obviously, this was not a very good year except the 4th Quarter. Any thoughts on how you want to grow because growing at a faster clip without return on capital, the growth could be a little toxic because the returns won't support that growth. Any thoughts on that, at least that threshold level on the return on capital and then start the next CAPEX side. Any thoughts on that will be appreciated.

A.V. Dharmakrishnan : See, Pankaj, many times I explained in person as well as in meetings also, so many of our CAPEX expenditure is number 1, to reduce the cost compared to others because the time like this definitely whatever investment we made is going to help us. Number 2, also we created lot of facilities so that any big jump like this, okay, suppose not invested in many silos, and also railway sidings in all the plants, had we not invested, definitely we can't take advantage of growth like this. So, I explained to you also in my earlier meetings, my incremental CAPEX is going to be much less. So, at that time when I expand further, definitely my return of the investment will jump. There will be quantum jump in return on investment when I have scaled capital expenditure on. Because my incremental capital expenditure what is needed to create maybe another 5 million or 10 million tons capacity is going to be much less compared to my earlier capacities and also compared to anybody else in the industry.

Pankaj Tibrewal : I mean as shareholders, we would like to see the double digit return on capital back.

A.V. Dharmakrishnan : See, only last 2 years, Pankaj. Before that, we have given the best return on investment.

Pankaj Tibrewal : Yes, absolutely, that's what I'm saying that we want to see that again.

A.V. Dharmakrishnan : See, last 2 years of aberration because there was some delay in the execution of Kurnool project. Otherwise, before '21, tell me who has given the best return in the

market.

Pankaj Tibrewal : We will look forward for that, sir.

Moderator : The next question from the line of Mr. Parth Bhavsar from Investec India. Please go ahead.  
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Parth Bhavsar: Sir, I have 2 questions. The first one is on the volume. So, you reported a very good set of volumes. So, just want to understand that in the area of your operation, which region did like pay better than the other one? if you could help us.

A.V. Dharmakrishnan : All regions have performed equally.

Parth Bhavsar: Every region?

A.V. Dharmakrishnan : Every region.

Parth Bhavsar : It was like, put it another way, like East performed better than South.

A.V. Dharmakrishnan : That is why I told you, my market mix is the same . There is no shift in the market mix.

Parth Bhavsar: So, you are saying growth in both the regions were the same?

A.V. Dharmakrishnan : Yes. In whatever state we are, everywhere we have grown.

Parth Bhavsar: And the other question was the R.R. Nagar modernization, the R.R. Nagar plant, that you were saying that you operated 1 million ton. So, what are the cost overruns over there?

A.V. Dharmakrishnan : Around Rs. 120 crores. See, the cost overrun is mainly because of steel price increase.

Parth Bhavsar: Where do we draw a line where we have stopped using that plant, like the 1 million ton, where do we draw the line ?

A.V. Dharmakrishnan : It depends upon demand growth and cost.

Parth Bhavsar: And there is no scope to also improvement as you said that all the CAPEX is being spent towards making plants better. So, is there any scope to improve?

A.V. Dharmakrishnan : No, in the entire company, only the second line of R.R. Nagar is a little inefficient. Either we can upgrade it or operate as it is. See, whenever say it is inefficient compared to our standard, not for industry standards . So, either we try to run it if the demand is good. Or if there is slack in demand, definitely, we will shut down for 3 -4 months, and we will upgrade that.

Parth Bhavsar: And sir, if I can squeeze in one more. What are the limestone reserves at Tamil Nadu? And can we increase clinker capacity hereon?

A.V. Dharmakrishnan : We have lot of lands. The bidding has to take place. If the bidding takes place, then I will let you what is the exact reserves. In Tamil Nadu , from 2014 till today, no bidding took place. So, whether to tell you what are the limestone depth after whatever mining and all these things, it

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will be too exhaustive. If the bidding takes place because these lands are owned by us, so most definitely we will get it. So, there is no problem as far as the limestone reserves are concerned in Tamil Nadu. In Tamil Nadu, without that, we can't venture to expand in Tamil Nadu, we expanded. That shows that we have enough limestone.

Parth Bhavsar: What would be the current reserve of limestone?

A.V. Dharmakrishnan : That is why I told you, we have enough lands. If everything comes for bidding, then definitely we have enough limestone reserve even for next 30 -40 years.

Parth Bhavsar: Sir, any mines, is it coming near the expiry? I mean any leases that are near expiry.

A.V. Dharmakrishnan : No, that would be beyond 2030, not now.

Moderator : The next question from the line of Mr. Keshav Lahoti from HDFC Securities. Please go ahead, sir.

Keshav Lahoti : Sir, can you please share the revenue and EBITDA number from dry mortar for FY23?

A.V. Dharmakrishnan: It is too small a quantity , 2 lakh tons, what is the EBITDA you wanted to see. See, when we have done 15 million tons, this is 2 lakh tons, do you want to know the number? For 15 million tons of volume , I told you our sale of dry mix is only 2 lakh tons. This isn't going to change anything.

Keshav Lahoti : No, I was trying to get actual EBITDA from that.

A.V. Dharmakrishnan : Is it going to

change the number, 15 million to 2 lakh tons, put the ratio.

Keshav Lahoti : We have seen a sharp fall in your CO2 emission, a 20% fall in FY23. So, what your main reason for that and will the trend continue?

A.V. Dharmakrishnan : I told you that our focus on right cement for right application, so in many projects, we are participating. Definitely, we are able to get repeat orders and ours is the most preferred product in all the major projects. So, that gives us confidence to grow.

Keshav Lahoti : And can you please give a broad bifurcation of your FY23 CAPEX plant wise, where and how much you have done the expense?

A.V. Dharmakrishnan : Kurnool is around Rs. 600 crores, the R.R. Nagar is around Rs. 500 crores.

Moderator : The next question from the line of Mr. Kamlesh Bagmar from Lotus Asset Managers. Please go ahead, sir.

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Kamlesh Bagmar : And lot of congratulations on exemplary performance, sir. Sir, just one question on the part of like say the volume growth which we are targeting around 20 odd percent next year, so how do you see the margins? What is the trade-off between the margins? Like, would we be interested in pushing volumes even if it comes at like say, Rs. 900, Rs. 950 EBITDA per ton? How do you see the trajectory of the margins?

A.V. Dharmakrishnan : See, I am not pushing the volume. I am operating only in the South and East. In other regions, the margins are not that great compared to ours. For all the company if you see, the EBITDA per ton is more or less in same range. To that extent, it's all mainly demand and supply, different players strategy to expand the market. We will not spoil the price. Definitely, we want price because we make so much efforts in expanding, in modernizing, in introducing new products. If there is no big margin then what is the point in hard work. So, definitely, we want price, but it all depends upon market dynamics.

Kamlesh Bagmar : And sir, secondly on the Kurnool side, like how much CAPEX we would be spending on that second line and when can we expect the commissioning the orders to flow in the market, sir?

A.V. Dharmakrishnan : See, the amount that we required for the second line is anywhere between Rs. 800 to Rs. 900 crores. We repeat the same capacity. And the timeline, as I told you earlier, we will let you know.

Kamlesh Bagmar : And lastly, sir, this conversion of grids wind capacity to captive, 19% odd percent you have converted it. So, what is the target for that in FY24? Would it be entirely converted or how much that would be? I know you have given a 10% incremental or 10% incremental share of renewables coming in next year.

A.V. Dharmakrishnan : Almost 60% of the wind mills are converted into captive; another 40% will be converted in another month or two. Before wind season, everything we will get it converted.

Kamlesh Bagmar : So, entire, it would be converted. But the way, the fuel prices are there in the market, do you see your margins getting improved from the exit of Q4 or the average of the Q4 leanings?

A.V. Dharmakrishnan : See, the margin depends not only in cost, it all depends upon prices also. See, whatever cost reduction definitely will accrue. In the first quarter there will be a small reduction, but second quarter onwards, I am expecting big reduction in the cost. For prices, you have to watch the market.

Moderator : We take the next question from the line of Mr. Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia : Congratulations on a good set of numbers. First question, first one is a bookkeeping one. if you can share what is the non-trade mix in 4Q and last year, what was it?

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A.V. Dharmakrishnan : Same thing, there is no change here. Our percentage is around 35%. See, 1% or 2% here and there will be there. That's all. Otherwise

, the percentage is the same.

Sumangal Nevatia : Sir, second question, I mean when you are evaluating and the focus currently is on deleveraging and you are evaluating when to kind of start the next phase, I mean what sort of matrix are we kind of focusing on and any particular say net debt to EBITDA kind of matrix we are tracking and what level we are comfortable before?

A.V. Dharmakrishnan : See, net debt to EBITDA should be around 2 to 2.5. So, could be ideal.

Sumangal Nevatia : So, once it approaches this range, we will be kind of starting the next phase. That is the way to think?

A.V. Dharmakrishnan : Yes. That is the right way to go. Again, that is why I am saying it all depends upon market growth also. If that is the case, maybe little bit we have to deviate here and there. See, otherwise, net debt to EBITDA, we want to maintain 2 to 2.5.

Sumangal Nevatia : Sir, and then our priority and strategy, is there any inorganic growth, which fits in, or you are evaluating or largely focus is on organic opportunity?

A.V. Dharmakrishnan : As of now, there is enough scope for organic growth also at a very, very reasonable cost. See, that is why I told you, my incremental capital cost will be much lower. As I told you earlier, to counter for Mr. Pankaj I have to give him good return on investment also. So, that is possible by this organic growth. That may not be possible to give in inorganic growth.

Sumangal Nevatia : And sir, just one last question. On the volume growth, I mean you said it is quite even. I mean, think this kind of growth is something which is sustainable and any particular project, any peculiar thing that has contributed to this level of growth in the last say few quarters.

A.V. Dharmakrishnan : See, I told you, even before we also had demand but we did not have capacity to support it. See, now I created capacity, so since you are able to take advantage of whatever good efforts we made in the last 1 year, that I may be able to take full advantage of what all the efforts we made because the capacity has come up.

Moderator : The next question from the line of Mr. Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka : So, I wanted to know like what was your clinker production in FY23 or if you could tell me what was the cement clinker ratio for '23?

A.V. Dharmakrishnan : My clinker production was around 11.872 million tons.

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Amit Murarka : And cement?

A.V. Dharmakrishnan : 14.866.

Amit Murarka : And also, on AFR, you like ramped up AFR mix a lot in FY23. Do you see that going up further in FY24?

A.V. Dharmakrishnan : It depends upon cost.

Amit Murarka : In rupees per kcal, like what will be the AFR cost versus let us say coke cost?

A.V. Dharmakrishnan : It used to be less than Rs. 1. Now it almost equal to coal cost.

Amit Murarka : And also, the fuel cost that you mentioned in the presentation like Rs. 2.21 this quarter, that doesn't include the AFR cost, right? It is not average for AFR.

A.V. Dharmakrishnan : Average of everything.

Amit Murarka : It includes the AFR as well, is it?

A.V. Dharmakrishnan : It includes AFR also.

Moderator : The next question from the line of Mr. Parthiv Shah from TSBPL. Please go ahead, sir.

Parthiv Shah : Congratulations for very good set of numbers. Sir, just a long-term sense. Basically, I do understand as and when time comes, you are not going to be shy to expand. Just for my understanding, you have done a lot of spending of your CAPEX at the risk of lower ROCE. But I do understand you have done a smart thing by building up a lot of infrastructure which you will not have to repeat again. So, if I have to assume that over the next 3 years, you were to add another 5 million tons or for that matter say another 10 million tons in your existing plant capacity, can it come at around \$60 EV by ton which is around Rs 5,000 crore

es. Is my assessment correct?

A.V. Dharmakrishnan : Even lower than that, we can do that. My cost will be lower than Rs. 5,000 crores even for 10 million tons.

Parthiv Shah : Sir, my second question is regarding pet coke. So, pet coke prices have come down. I do understand you had previously had a policy of hedging pet coke prices at the price where you are feeling it's comfortable. How much more inventory of high-cost pet coke we still have? Have we replenished that?

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A.V. Dharmakrishnan : At any point of time, we have only 2 months stock. See, less than \$100 only we will build more. More than \$100, our policy is to have only 2 to 2.5 months stock maximum.

Parthiv Shah : So, current average cost for 2 months would be what around?

A.V. Dharmakrishnan : See, January, it was \$176, February \$178, and March was \$161.

Parthiv Shah : So, only from the third month onwards you can expect \$125 benefit, right?

A.V. Dharmakrishnan : Second quarter.

Moderator : The next follow up question from the line of Mr. Shravan Shah from Dolat Capital. Please go ahead, sir.

Shravan Shah : Sir, in terms of the prices, so since the March exit till now, 1.5 months, sir, in terms of where we operate the current prices or the average prices for 1.5 months is similar or slightly lower than the 4th Quarter average?

A.V. Dharmakrishnan : So, you people know very well, you can do market check and find out what are the prices.

Shravan Shah : Sir, that we are doing, but just wanted your confirmation.

A.V. Dharmakrishnan : The prices vary every day. Goes up, also comes down. I am not saying it is coming down only, goes up, also coming down.

Shravan Shah : Sir, just one thing. In terms of Odisha, 0.9 mtpa grinding, we mentioned that it will come by second half. So, will it be in Q3F Y24 or Q4 it will start.

A.V. Dharmakrishnan : Q3.

Shravan Shah : And this Kurnool, when we say Rs. 800 crores, Rs. 900 crores CAPEX that we can look at when we start for the second line, so this will have around 2.25 clinker and 2-to-3-million-ton grinding.

A.V. Dharmakrishnan : Yes, you are right.

Moderator : Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for closing comments.

P.R.V. Raja : So, I would like to thank everybody for their very interesting questions all of you asked and I hope we have answered all of them to your satisfaction. I'd like to say that we are working towards a sustained growth and we will be able to let you know on a plan as we slice. So, hope

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to meet you all again and explain our growth plans, etc, as we make our decisions. Thank you very much.

A.V. Dharmakrishnan : Thank you for all the participants.

Amit Srivastava : Thank you, sir.

A.V. Dharmakrishnan : Thank you, Amit,

Moderator : On behalf of Batilvala & Karani Securities, that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

## Call: Nov 2023

Corporate Office:  
Auras Corporate Centre, V Floor,  
98-A, Dr. Radhakrishnan Salai , Mylapore,  
Chennai – 600 004, India.  
Phone: +91-44 28478666, Fax: +91- 44 2847867 6  
Web Site: [www.ramcocements.in](http://www.ramcocements.in)  
Corporate Identity Number : L26941TN1957PLC003566  
Registered Office: “Ramamandiram”, Rajapalayam – 626 117. Tamil Nadu  
THE RAMCO CEMENTS LIMITED

16 November 2023

National Stock Exchange of India Limited,  
Exchange Plaza,  
Bandra- Kurla Complex,  
Bandra (E), Mumbai – 400 051.  
Symbol : RAMCOCEM  
BSE Limited,  
Floor 25, “P.J.Towers”,  
Dalal Street,  
Mumbai – 400 001.  
Scrip Code: 500260

Dear Sir,

Sub: Transcript of the Audio Recording of Q2FY24 Results Zoom Call

Ref: Disclosure under Clause 15(b) of Para A, Part A of Schedule III, read with Regulation 30 of SEBI (LODR) Regulations, 2015.

In continuation of our letter dated 9th November 2023, providing you the weblink of the Audio Recording of Q2FY24 Results Zoom Call , held on 09.11.2023, organised by ICICI Securities, we attach the transcript of the conference call and the same is also made available at –

[https://ramcocements.in/cms/uploads/The\\_Ramco\\_Cements\\_Q2\\_FY\\_24\\_Earnings\\_Call\\_Transcript\\_22cf8f06a7.pdf](https://ramcocements.in/cms/uploads/The_Ramco_Cements_Q2_FY_24_Earnings_Call_Transcript_22cf8f06a7.pdf)

Thanking you,

Yours faithfully,  
For THE RAMCO CEMENTS LIMITED,

K.SELVANAYAGAM  
SECRETARY  
The Ramco Cements Limited (RAMCOCEM )  
Investor Update 2QFY24  
November 9 , 2023

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“The Ramco Cements Limited  
Q2FY24 Earnings Conference Call ”  
November 09, 2023

MANAGEMENT: MF Farooqui – Chairman

A.V. Dharmakrishnan - Chief Executive Officer

S. Vaithyanathan - Chief Financial Officer

MODERATOR : Navin Sahadeo – ICICI Securities

Harsh Mittal – ICICI Securities

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Moderator : Good evening, everyone. On behalf of ICICI Securities, I welcome you all to the Q2FY24 earnings call of The Ramco Cements Limited. From the management, we have with us, Chairman, Shri. MF Farooqui; CEO, Shri. A.V. Dharmakrishnan; and CFO, Shri. S. Vaithyanathan. We will start the call with opening comments by the management followed by interactive Q&A. So without any further ado, I'll hand over the call to the management for their opening comments. Over to you, sir.

M.F.Farooqui : Thank you very much. Good evening , everyone. We very warmly welcome all of you to the earnings call of Ramco Cement to discuss unaudited results for second quarter of financial year 2023 -2024.

We hope you would have seen our results and updates by this time. The cement demand has been strong , but the prices have been under constant pressure during this quarter. Prices have improved in October 2023 and I hope it sustains .

The key highlights of our performance for the current quarter is , sale of cement has improved to 4.61 million tons , compared to 3.35 million tons in the corresponding period , with a growth of 38%. The share of premium products has improved to 28% in the current quarter from 25% in the corresponding period . The cement utilization rate for the current quarter is 82% as against 66% in the corresponding period.

Net revenue for the current quarter is Rs.2,343 crores as against Rs.1,793 with a growth of 31% . EBITDA for the current quarter is Rs.412 crores as against Rs.193 crores in the corresponding period last year. EBITDA margin for the current quarter is 18% as against 11% in the corresponding period. Blended EBITDA per ton for current quarter is Rs.894 as against Rs. 575 in the corresponding period . Profit before tax for current quarter is Rs.138 crores as against Rs. 16 crores in the corresponding period last year.

The power and fuel cost per ton of cement for current year second quarter has decreased to Rs.1,358 from Rs. 1,989 in the corresponding previous year period . A change in utility of sale of wind power to captive use has helped to reduce the overall power cost.

The overall green power usage has significantly improved to 38% during the quarter from 22% in the corresponding period . Thanks to the wind power usage for captive purposes and the Waste Heat Recovery System, WHRS. The green power share is likely to reach 40% for the financial year 2024, and 45% in the financial year 2025.

Coming to fuel prices . The spot CIF prices of pet coke was as low as \$104 in June 2023, but slowly has gone up to \$ 138 now. The pet coke prices are key to watch. Our pet coke consumption for the current quarter stands at 53% . Due to commissioning of Kolimigundla Integrated Unit, RR Nagar Line-3 and Dry Mortar Plants in RR Nagar and Salem , the interest cost and depreciation has gone up to Rs.117 crores and Rs. 157 crores , respectively , for the current quarter.

With regard to the status of capacity expansion in Kolimigundla , TPP of 18 MW will be commissioned during December 2023 and railway siding will be commissioned during June 2024 . Expansion of capacity of dry mix products in AP and Orissa will be commissioned during December 2023. Expansion of grinding plant from 0.9 MTPA to 1.8 MTPA in Orissa is expected to be commissioned during January 2024 .

During the current quarter, the company has incurred Rs. 941 crores towards Cap Ex, including the purchase of limestone bearing lands in Andhra Pradesh and Karnataka. The net debt as on September 30, 2023 is Rs. 4,966 crores.

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With this, I will conclude my opening remarks. We are open to questions now. You are welcome to pose your questions. And indeed, before

parting, I'd like to wish all of you a very, very happy Diwali.

Moderator : Great. Thank you so much, sir, for the opening comments. Should we begin the Q&A?

Management : Yes, please.

Moderator : Great. So, ladies and gentlemen, we'll start the Q&A. Please press the show of hand icon. We already have three participants for the Q&A. First, we start with Amit Murarka. Amit, go ahead, unmute yourself and ask your question, please.

Amit Murarka: Yeah. Hi. So the first question is on CapEx actually. So I see from the balance sheet that Rs.1,225 crores has been spent in the first half. Where do we stand now on the CapEx for FY 24? And could you explain the reasons for the spend being so much higher than the expected numbers?

Management : We have given in our notes. It includes the purchase of land in Andhra Pradesh as well as in Karnataka. Otherwise, all other capital expenditures are in line with what we have expected.

Amit Murarka: Could you quantify that amount? So how much would that amount?

Management : Sorry. We cannot share the details now.

Amit Murarka: If Rs.1,225 crores is the number, even if I take like a Rs.500 crore, Rs.600 crore for the land, even then it's like a Rs.600 crore CapEx for first half.

Management : Sorry, I don't want to elaborate. Okay, maybe whenever other companies elaborate the details, we will give you the details. As of now, I can't give you the details. Sorry.

Amit Murarka: Okay. And for full year then what should we expect? Like including this Rs.1,225 crores, what should we think of full year now?

Management : Maybe another Rs.300 crores to Rs.350 crores.

Amit Murarka: Okay. Sure. Got it. And your clinker utilization, I believe now is almost like 92%, 93%. And there is no planned clinker addition at this point in time. So should we then expect like FY 25 in that case to be a low -single -digit volume growth here now?

Management : We will announce once the board approves.

Amit Murarka: And the order of priority would remain the same.

Management : Yeah, Kurnool second line will be the first priority.

Amit Murarka: Got it. And lastly, just around the debt levels like we have seen a consistent increase in debt for the last 3 years. I am sure too many questions have been asked on this to you. But still like what is the target, we can think of for March 2024 and March 2025 now?

Management : This is the maximum debt. We will not go beyond this.

Amit Murarka: But deleveraging like in the second half, can we expect like Rs.400 crores, Rs. 500

crores? Or do you think that ...

Management : Rs.400 crores, Rs. 500 crores may not be possible . Definitely, we will focus on deleveraging.

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Amit Murarka: So, I will come back in the queue. Thank s, sir.

Moderator : Thanks. Amit. Please mute yourself. We have the next question from Indrajit Agarwal. Indrajit, please unmute yourself and go ahead , please.

Indrajit Agarwal: Hi, thank s for the opportunity. I have a couple of questions. First, going back to the land acquisition that we have done, is it more for the expansion of capacities or will it only augment the current limestone block? So can we assume that this will enable us to add more capacities or just for reinforcing whatever we have right now?

Management : These mines are very near to our factory and adjacent to our compound wall , number one. Number two, definitely it will augment our limestone reserves by another 140 million tons of limestone reserves .

Indrajit Agarwal: Got it . And if you can help us understand what is the remaining CapEx on the ongoing projects? Not for the new projects, but for the ongoing projects, just to get a sense that what kind of CapEx we can see in FY 25?

Management : Maybe another

Rs. 350 crores only for ongoing projects. Maybe we will go for some WHRS which we are planning in Tamil Nadu plant. Those things we will announce maybe in another board meeting . See, previously we thought there were no more chances for WHRS in Tamil Nadu units. Now , we are able to find a way that we can put up some WHRS units in Tamil Nadu plants also. If those things are crystallized, then my capital expenditure will be , maybe considering per megawatt around Rs.5 crores to Rs.6 crores , we would spend. Maybe around Rs.100 crores to Rs.150 crores we may have to spend on WHRS if necessary .

Indrajit Agarwal: Yeah. This is helpful. And , lastly, one more question on expansion, right, while you will say that you will come back with more details . But is there a thought process of expanding out of south and east , maybe north or west ? Any of the other regions we are evaluating or any progress on that we have ?

Management : As of now, we do not have any mining leases in those areas , so it is not possible. So we also participated in many bids. But we were not successful. Maybe in the upcoming periods, whenever the new mining bids come , we will be participating in that. If we are able to get it, definitely there is a possibility . We want to diversify into different geographies also. But as we already informed , we got one mining asset in Karnataka. We are in the process of buying land there also. Okay , once the land is completed, then we can enter into western markets also .

Indrajit Agarwal: Sure. Thank you. That is all from my side.

Moderator : Thanks. Next in line is Shravan Shah . Shravan , please go ahead with your question.

Shravan Shah: Hi. Thank you for the opportunity. So first is on the pricing front, how much of October prices what we have seen ? So how much till now we have seen the prices getting absorbed ? Moreover, is there a possibility , because in November festivity season, how much more rollback is possible? In addition, if at all happens and by December can we be able to take a price hike?

Management : These are very hypothetical questions. You will be knowing better than us, because already many earning calls you might have attended. See , the pricing scenario is very dynamic. See , definitely in October there was a significant price increase compared to second quarter . But I cannot quantify but definitely, there was a significant price increase in October.

November as on today, whatever price increase we have done in October that is sustaining. We have plans to increase the prices depending upon the market situation.

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The quantum in different months / different period will be very difficult to say, as you know the dynamics of the market.

Shravan Shah: Okay. And in terms of the volume, so first half we have done up 33% kind of growth. So how one can look at the second half in terms of the volume growth?

Management: We will try to maintain the volume we have done in the first 6 months, we try to repeat in the second 6 months also.

Shravan Shah: And the wind power that now we are using for our own consumption. So if you can help us in terms of quantifying for this quarter? So, previously, it used to show as a revenue and now that revenue is not there. That is why maybe the realization is also looking slightly more decline and we are seeing a saving on the cost. So if you can help us how much saving, because of this change in the shift from sale to the captive use?

Management: Whatever we were selling to the grid and group captive that is converted into captive consumption now. So whatever we are going to consume, definitely we can take around Rs 1.50 saving per unit. It depends upon the coal prices. Alternative was thermal power plant. If the coal prices were very

high, like example last year, first quarter, second quarter where the coal price were some \$200, then saving will be much higher.

So now, the coal price has come down significantly. So to that extent benefit may not be that much. Again, advantages: number one, towards cost reduction; number two, without making any further investment our green power will grow. See, that is the purpose for which we converted from sale of power to the grid into the captive.

Shravan Shah: Okay. Got it. Why our AFR share, if we look at 1H versus 1H has now reduced to 7%, which used to be 13%, 14%. So is there any issue in terms of the sourcing the AFR cost?

Management: With the coal price of \$200, the AFR looked attractive. When the coal price comes down, AFR price has not come down. Hence, we do not have significant advantage in AFR.

Shravan Shah: Okay. Got it, thank you, sir.

Moderator: Thank you. Next is Satyadeep Jain.

Satyadeep Jain: Hi, sir. A few questions, just on the follow-up on the land acquisition. I believe, in Kurnool, you already had sizable land acquisition. The new acquisition you have done, most of it would be Karnataka, I imagine.

Management: No doubt, we have sizable reserves. The mining leases is also valid up to 2050, in respect of prism lands. Therefore, that is the attractiveness of this buying this land.

Satyadeep Jain: So you are saying most of the new acquisition is Kurnool, additional acquisition.

Management: Yeah, you are right.

Satyadeep Jain: Okay. On Kurnool, given you are hitting capacity constraints soon, and as you mentioned, your board may look at expansion. If I understand correctly, putting up new kiln at least take another, whenever you make that announcement 24 months, would that be the same timeline we look at Kurnool for the next line?



Management : It may not take that much time , because already most of the infrastructure was created . What is needed is only equipments rather than infrastructure like silos for the clinker; silos for the cement and many of the limestone storage shed have been created . The Ramco Cements Limited (RAMCOCEM )  
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already created for the second line . See that is the reason, our capital cost for the first line were also elevated . Therefore, it will not take that much time.

Satyadeep Jain: So I believe if you mentioned \$40 per ton CapEx. So can we assume similar CapEx and possibly commissioning as soon as 1-year from the board announcement?

Management : Yeah, 12 to 15 months is possible , because we have to go through environmental clearances also. Nevertheless, 12 to 15 months is definitely possible.

Satyadeep Jain: Just one last quick question on the volume growth, exceptionally strong volume growth. You historically had mentioned 25% mix in east and 75 %. Is that similar mix and are you given the volume growth you are taking significant market share ? Is that market share also largely on non-trade? Any additional insights on just the volume mix and product mix and all ?

Management : In fact, volume growth in south is little higher than east this time , it's not 75 %-25%, it is around in the range of 80%-20%. We see there is no big difference between trade and non-trade in terms of realisation . Wherever we have good realization , we will be selling in that segment . We have many a times reiterated , since we are making very special products , certain projects prefer our cement. That is the reason we have very good growth in volume. We continue to focus us on the right cement for right application. Since these are all application based cement that we are manufacturing for certain applications, certain projects definitely prefer our cement , there we have strong growth .

Satyadeep Jain: Thank you so much.

Moderator : Thanks. Raghav Maheshwari

is next in queue. Raghav, go ahead , please.

Raghav Maheshwari: Sir, firstly , congratulations on good set of a volume growth. I think your right application of right product is right now working very well for you . Sir, my question is from you at the end of FY 25 our cement capacity will be around 24 million ton and clinker around 14.23 million ton . Is it the understanding correct ?

Management : You are right.

Raghav Maheshwari: What is our current CC ratio is right now ?

Management : See, the CC ratio is around 1.3.

Raghav Maheshwari: Sir, then it will we should , now will go for – if I map our cement and the clinker capacity , then it's showing some at a higher side 1.7 around according to the capacity wise, which is under construction also. So in the near-term what we have to – how we should look we are going for a more clinker expansion or there is some more scope in this? Because you are primarily in the southern market key player. So improvement of the CC ratio is also possible ?

Management : CC ratio definitely improvement is possible. We are also debottlenecking kilns almost in all the plants . That will also increase our clinker capacity by a million ton . The only thing it may take some little longer stoppages. Now, we are not able to stop the kiln. That is the reason, we are not taking that. Hence, whenever possible , with 15 to 20 day stoppages, definitely we can explore the possibility of increasing capacity of clinker by another 0.7 to 1 million ton .

Raghav Maheshwari: Sir, from our existing clinker capacity, what is the best-case scenario you can see for a cement? How much we can make from the current clinker capacity

Management : Yeah, 22 to 23 million ton depending upon my OPC blended cement ratio .

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Raghav Maheshwari: Okay , sir. One question from the right product and the right application. Basically, all the right products for the right application are primarily the blended base or it is an OPC base, also just wanted to know?

Management : Both.

Raghav Maheshwari: And which segment is growing very faster in the premium product, OPC based or the PPC based?

Management : Both are growing.

Raghav Maheshwari: Got it.

Management : See, for example, in blended cement, our Ramco Supercrete that is the cement suitable for concrete for individual houses is growing well. OPC for certain infrastructure projects are growing .

Raghav Maheshwari: Got it. Sir, what is your first preference? Is it Kurnool line-2 or the new expansion in Karnataka .

Management : Kurnool second line. Because, this can be done very fast. Also very, very less cost with around 40\$ to \$50.

Raghav Maheshwari: Got it, sir. Last question from the eastern market side. The premium products in the southern market , which you are gaining continuously the market share. Can you highlight someone to the eastern market also? How the eastern market responding for the premium products ?

Management : In the eastern market also, for certain infrastructure projects, we are the exclusive suppliers.

Raghav Maheshwari: Okay. Got it, sir. Okay, sir. Thank you from my side .

Moderator : Thanks, Raghav. We have a follow-up from Amit Murarka . Amit, go ahead , please.

Amit Murarka: Yeah. Hi. Just a question on power and fuel. I see that in rupees Kcal, the fuel cost has dropped , I think , 12%, 13% QoQ . But the power and fuel cost number seems to have dropped by almost like 24 % , 25% Q oQ. So could you just help bridge that gap in the two ?

Management : WHRS full benefit we got this year . Also, wind power , we got a full benefit from June, not for the full year. Power per Kcal is different from what I consumed also now, you cannot directly correlate both.

Amit Murarka: No. My only purpose of asking is should I take this, rupees per ton , power and fuel as a run rate now . Or like should I adjust for some ...

Management : Yeah, second quarter cost you can take for the third quarter also. I am telling you cost per Kcal.

Amit Murarka: Okay. I believe in the second half the wind power is not available . So to that extent like Rs.50, Rs.60 per ton cost will go up, right?

Management : But we will get full benefit from WHRS since certain WHRS are commissioned only in part of the year .

Amit Murarka: Sure. Just one question on Kurnool expansion. Like you said, \$40 - \$50 per ton

Capex cost. So that would only be equipment cost, right? There would still be some EPC cost, some contractor cost, some civil cost beyond that as well, right?

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Management : Most of the civil cost is already incurred. For example, what is needed? Silos. Clinker silo we have for 1,50,000 tons. In other plants, we have 30,000 tons to 40,000 tons. There is no need for clinker silos, cement silos, investment in packers and investment in stacker reclaimer for raw materials for second line. See, most of the investment has been already made.

Amit Murarka: But waste heat you will have to put up, right? That will still be an extra cost.

Management : Yeah. You are right. Waste heat recovery will be additional one.

Amit Murarka: Okay. Also, just a thought which I wanted to check with you. Like we understand that Tamil Nadu has low limestone reserves, and the auctions are being delayed perpetually. So is there some like plan B, which you are trying to do over here by acquiring land in AP, Telangana, setting up more capacities there? So at least you can feed the market from that belt in case these auctions continue to get delayed.

Management : We have enough limestone reserves in Jayanthipuram as well as in Kurnool.

Amit Murarka: Yeah, but that is less than 10 years, right?

Management : No, we have enough reserves with expiry more than 10 years.

Amit Murarka: Not Kurnool, sorry, I meant Tamil Nadu.

Management : We have already enough lands available. Mining reserves are available in both Jayanthipuram plant as well as in Kurnool plant. I can expand more there and send clinker here or limestone here.

Amit Murarka: So that is a plan B, then basically in case the TN reserve issue gets delayed for this.

Management : That is only thing possible now.

Amit Murarka: Got it. Thanks a lot.

Moderator : Thank you. Next is a follow-up again from Shravan Shah. Shravan, go ahead.

Shravan Shah: Yeah. Thank you. Sir, first is finance cost and depreciation, definitely, we mentioned the region just trying to understand this quarterly run rate. What we have reported both the depreciation and finance cost. Will it remain or likely to even inch up further in third and fourth quarter?

Management : Quarterly another 10 crores increase is possible for interest and depreciation.

Shravan Shah: Yeah. What is the depreciation projection for the full year?

Management : Depreciation projection for the full year FY24 year is Rs.640 crores.

Shravan Shah: Okay. I am just trying to understand when we are saying that our preference is the Kurnool second line, and if the Tamil Nadu limestone does not work and the plan B is there. So the land acquisition that we have done from the Prism. So there, definitely, then we will be looking to add our clinker line there.

Management : As I told, it is a plan B.

Shravan Shah: Okay. Got it. Thank you, sir. I am done. Thank you.

Moderator : Hello. So the next question is from Pathanjali Srinivasan. Please go ahead.

Pathanjali Srinivasan: Hello. Am I audible, sir?  
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Management : Yeah,  
you are audible.

Pathanjali Srinivasan: Yeah. So firstly on the CapEx . I would like to know what your Cap Ex number will be for FY24 and FY25.

Management : It will be around Rs.1600 crores.

Pathanjali Srinivasan: Okay, for the next year , sir?

Management : See, for the existing projects whatever I have planned, it would be around Rs.200 crores to Rs.250 crores.

Pathanjali Srinivasan: Okay. Got it, sir. One more thing, with respect to regions like between east and south, what is the expansion based decision that we are trying to take? Because right now from a capacity mix we are strongly aligned towards south. But , I think , from a volume sales mix we might still have better volume in east. So are we trying to enter east by adding another plant or grinding unit in that region?

Management : In east, the integrated plant is not possible , because no limestone reserve is available . Already in Vizag, we have two lines. In Orissa, we are putting up second line . And in Calcutta already we have two lines. Therefore, we can grind around 4 million tons in both Orissa and Bengal units. The market mix ratio will be around 70 -30. You can take around 70% will be south and 30% will be east in terms of the capacity . However, actual sales in east may be around 25% . But the capacity will be around 70%-30%.

Pathanjali Srinivasan: Okay. Got it , sir. Just one last question. This trade -off between volume and pricing. So, I think , for us we were a little bit more of volume focused in this quarter . So how do we take these decisions and what is the reason behind this?

Management : So these are very dynamic thing based on market -based factors , which I cannot tell you. It depends upon dynamics of the demand and supply . How my co -producers behave? I cannot tell you that this is going to be my particular strategy. Nobody can say that . No individual company can say that this is going to be the strategy.

Pathanjali Srinivasan: So that part is fair, sir. But the concern is, spend capacity is getting coming in a very lumpy way. We are not too sure as to how sustainable the capacity addition is going to be for companies at a ROCE level .

Management : It depends upon the cash flows. If cash flow is strong, then you will concentrate on creation of the capacity. If the cash flows are not strong, then I have to align with my cash flow to create the capacity .

Pathanjali Srinivasan: Okay, sir. Just last question . There is no realization from sale of power in this quarter, right?

Management : Some Rs.3 crores , Rs.4 crores. Not big.

Pathanjali Srinivasan: Okay. But substantially our net sales are realization from cement.

Management : Yes. Because the power from windmill is converted into captive use from June 1. Therefore, the sale between April to May was the only small quantity that was sold to the grid.

Pathanjali Srinivasan: Okay. Thank you, sir .

Moderator : Thank you. We have a next question from Mr. Raghav Maheshwari. Please go

ahead.

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Raghav Maheshwari: Sir, my question is right now; our green mix power is 38%. What you are indicating that we are also looking for adding WHRS for our Tamil Nadu based plant ? So if we get succeed into the set up a t Tamil Nadu b ased plants on WH RS, then what should be the target for the green power?

Management : We are on 38%. See , given today's capacity of WHRS and wind power, we are projecting to go up to 40% in 2024 and 45% in 2025.

Raghav Maheshwari: Okay.

Management : We are planning another 14 -megawatt WHRS from Tamil Nadu plants. If crystallizes, this will increase our green power to around 50% to 52% .

Raghav Maheshwari: So basically, FY26 we can assume 52 % is an achievable number for a green power side.

Management : End o  
f 2025 is possible .

Raghav Maheshwari: Got it, sir. One question from the expansion plan now we are still on for the grinding unit projects in the South Maharashtra , which we are earlier looking with the Kurnool clinkerization unit. Its plan is still on or now we are not taking Maharashtra option as the first of the choice ?

Management : As of now, we are not taking any action on acquiring any land in Maharashtra.

Raghav Maheshwari: Kurnool clinker is primarily for the southern and t he eastern markets onl y, right?

Management : Yeah, you are right .

Raghav Maheshwari: Do we n eed any cement capacity expansion also , or current cement capacity is sufficient to absorb this clinker ?

Management : No, we will be increasing capacity in Kurnool also. Cement capacity will be increasing before adding the clinker capacity .

Raghav Maheshwari: 1 million ton i s already an under construction in Orissa , right?

Management : Yeah. With that, only I am telling.

Raghav Maheshwari: Okay. After Kurnool , your capacity will be 25 million ton.

Management : Yeah. Cement grinding capacity.

Raghav Maheshwari: Cement grinding capacity. Yes. Got it , sir. Thank you very much, sir.

Moderator : Thank you. We think that we have a follow -up question from Mr . Shravan Shah. Please go ahead.

Shravan Shah: Yeah. Sir, just to clarify. So currently our cement capacity is 22 million ton; 0.9 million ton, Or issa will come. So that will take to 22.9 million ton . And with the Kurnool grinding, whenever we will take – that will take to 25 million tons . So close to 2.5 million ton grinding will be there for Kurnool.

Management : Yeah.

Shravan Shah: Okay. And for the clinker...

Management : So I will tell you another reason . There are certain raw mills are available in our

factory , which is not needed now, because we have put up additional raw mills in different factories . Those raw mills can also be converted into cement with some The Ramco Cements Limited (RAMCOCEM )  
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investments. For example, in Jayanthipuram, one raw mill today it is stopped , but it is in working condition. And we gone for new line with a bigger raw mill . Like that in different factories also we have raw mills available , which is not being used now. But if this is all in working condition , with some investments like conveying equipments I can convert into cement mill also with that only I'm telling I can go up to 25 million tons .

Shravan Shah: Okay. And for clinker capacity , so correct me if I am wrong , existing is 14.94 , so 15 million ton clinker, so that will become how much, sir? You mentioned some number.

Management : Around 15.5 to 16.

Shravan Shah: Okay. Got it. Thank you , sir.

Moderator : Thank you. We have a follow -up question with Mr. Raghav Maheshwari. Raghav , please proceed.

Raghav Maheshwari: Sir, one question from the pricing front. Firstly , we saw the price collapse particularly in the Tamil Nadu in the month of the March , which again started to raise until some level from the October. I think , in my understanding , I saw this is the first time in decade , where the Tamil Nadu prices are lower compared to the AP or the Telangana based players ? So how will you see the pricing right now and for the future and for this financial year , particularly for the Tamil Nadu and Kerala markets ?

Management : As of now, it is much better than the second quarter , beginning of the second quarter . We confident that trend will continue .

Raghav Maheshwari: But Tamil Nadu prices you think should be better compared to AP & Telangana , which was the earlier case ?

Management : Do you mean to say, Tamil Nadu price as of today is lower than Andhra and Telangana? Is that your understanding?

Raghav Maheshwari: No, no , not today . But 4, 5 months before, this is the situation.

Management : Even , 4, 5 months before also, never it was lower than Andhra and Telangana .

Raghav Maheshwari: Okay, sir.

Management : Tamil Nadu prices were never been lower than Andhra and Telangana. At least my brand and leading brands.

Raghav Maheshwari: Right, sir. Got it , sir. Thank you, sir.

Moderator : We have a next question from Mr. Amit Murarka . Please go ahead.

Amit Murarka: Yeah. Hi, thanks for the follow -up. So just wanted to get some update on the Karnataka also , I believe you already had some limestone and then you are acquiring land as well. So if Kurnool is going to the priority, then should we then expect like Karnataka project to be taken up only like post FY 26?

Management : Yeah, 2025 -2026, we may start. Yeah, you are right. Because we have to acquire the land first . The process for acquiring land, then we have to go for clearances. So definitely, it would take minimum 2 to 3 years.

Amit Murarka: Got it . I am sorry; I did not get it properly. You said that your green energy could go

from 45% to 52% based on which new projects you said?

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Management: WHRS in RR Nagar and other Tamil Nadu plants.

Amit Murarka: Okay. You plan to set up new WHRS. How much will be the capacity for that?

Management: It will be around 15-megawatt.

Amit Murarka: Sure. So after that like you will be maxed out on our waste heat potential, right.

Management: Whenever we put up Kurnool second line, additional WHRS is possible.

Amit Murarka: Yeah, I mean on existing capacities, basically.

Management: Yeah, existing capacity, this is maximum.

Amit Murarka: Right. And just one question on your CC ratio. You sell like 20% of your volumes in east, which is generally seen like a 1.9x, 2x CC ratio market. So why is it so that even with that your CC ratio and an overall basis is like 1.3x or lower?

Management: When we go for premium products, blending ratio comes down.

Amit Murarka: Okay. And is it also because like you are selling like a large part of your mix is still OPC in East India? Is it also because of that?

Management: You are right. Around 40% to 50% is OPC.

Amit Murarka: Sure. So do you plan to kind of – actually for me, if I think of it's quite an easy low hanging fruit for you that if you can just sell more blended cement in east, which is anyway the market which sees that kind of a mix. So then in that ...

Management: Not necessarily, Amit, it depends upon price. But there are certain specific projects, like defence projects, they want our cement and it is only OPC. So nothing wrong in selling OPC, it depends upon price. See, okay, the blended cement, albeit does not mean that your realization or your contribution going to be better, not necessary. Sometimes if you give some special type of OPC, then your realization can be much better than blended cement also, even after CC.

Amit Murarka: Okay. Sure. Thanks for that.

Moderator: Thank you. We have our next question from Mr. Rajesh Ravi. Please go ahead.

Rajesh Ravi: Yeah. I say congrats on good set of numbers. Very strong volume growth. Maybe you guided the second half also; you could replicate this volume growth of 1H. Just on the CapEx front, if I missed it earlier, what is the total CapEx guidance for this financial year and next year one? Second, for the Kurnool project, you mentioned the incremental capacity addition would be around 1 million-ton clinker and 2 odd million ton grinding?

Management: The clinker will be around 2.5 million.

Rajesh Ravi: Okay. And grinding would be how much, sir?

Management: Pardon?

Rajesh Ravi: 2.5 is clinker, you are right?

Management: 2.5 is a clinker.

Rajesh Ravi: And what will be the tot

al cost for this project?

Management : I told you it would be around \$40 to \$50 .  
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Rajesh Ravi: No. In absolute value , what will be the total cost?

Management : See, without WHRS, it will be around Rs.700 crores to Rs.750 crores.

Rajesh Ravi: Okay. Including all mining land and all , everything i s 750 crores .

Management : Already mining land is purchased .

Rajesh Ravi: So that is over and above this Rs.750 crores.

Management : Yeah.

Rajesh Ravi: Okay. And this total CapEx for this financial year and next year, sir?

Management : Yeah, total CapEx for this year will be around Rs.1,600 crores to Rs.1, 650 crores.  
Next year will be around Rs.200 crores to Rs.250 crores considering only the ongoing projects .

Rajesh Ravi: Okay.

Management : Whatever projects to be approved by board subsequently , that wi ll be extra.

Rajesh Ravi: Okay. This includes your normal maintenance CapEx or these are only for the ...

Management : Normal maintenance CapEx would be another Rs.100 crores to Rs.200 crores.

Rajesh Ravi: Okay. So around Rs.1,800 odd crores would be total CapEx for this financial.

Management : No. This year including normal CapEx will be Rs.1,600 crores. Next year , I am telling.

Rajesh Ravi: Okay . So Rs.1,600 crores this year and next year Rs.250 crore plus maintenance CapEx , and additional whatever may come up.

Management : Yeah. It does not include whatever WHRS proposed for TN Plants and it is projected only for the ongoing projects.

Rajesh Ravi: Great , sir. Thank you. All the best.

Management : Thank you.

Harsh Mittal: Sir, I have a question. So, this is Harsh. I have a question , sir. How are we seeing the demand scenario panning up in the election bound states in AP and Telangana, sir?

Management : Demand is good. All market demand is good.

Harsh Mittal: Are we not seeing any obstacles and demand slowdown due to the election? There is no such thing.

Management : My study, I will tell you. See now the demand is mostly fuelled by infrastructure projects , which just started. So the government is not afford to stop these infrastructure projects , because , okay , once these projects are delayed or stopped then there'll be huge NPA in the banking system and whatever problem we had in 2014 will be multiplied 3 or 4 times. That is my assessment.

So whatever the demand from the infrastructure project definitely will sustain for at least 2 to 3 years minimum . So take , for example , Tamil Nadu, take Chennai, now we have seen first phase of metro, now for second phase , they want to stretch it for



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200 kilometres . Similarly, they want to go for metro in Madurai , Trichy , and Coimbatore . This is just the picture of TN alone.

Like that , different cities want to have a metro . Once such things started , you cannot stop it . Then, overall cost will be huge and infrastructure companies are not afford to, even the government is not afford to slow down or stop , because they cannot have another problem like 2014 .

Moderator : Right. Th ank you , sir. Therefore, we have next question from Navin Sahadeo. Sir, please go ahead.

Navin Sahadeo: Right. T hank you for the opportunity. S ir, just a clarification you mentioned volumes in the second half will be good as the first half , so did yo u mention the growth rate of 30%, 35% year -on-year or absolute volume?

Management : Whatever, first 6 months volume will be repeated. Second six months, a little bit more also we can do. Normally, fourth quarter will be very good.

Navin Sahadeo: Exactly . Therefore, that clarification is helpful . Second , sir, my next question is around the incentives , any reason why we

do not have incentives ? . Because other states typically in east , a lot of these companies claim incentives in Orissa and other states , I know West Bengal is a little difficult to get . But, Orissa, I thought does offer incentive. I mean I saw in your presentation that we do not have any incentiv es.

Management : See, Orissa, we have put up the plant after the cut-off date. They have given a cut-off date and whatever plan t put up before that date only are eligible for incentives.

Navin Sahadeo: Understood.

Management : In Orissa and Bengal, as I already told, we submitted application; even they have not taken up our application. In south, we are so called very developed states , so incentives are not available to us.

Navin Sahadeo: Understood . Just one last question and sorry if it is a repeat, bu t what will be the absolute peak net d ebt-to-EBITDA, within which we will want to do our Cap Ex program? I understand , you mentioned in your initial comments that board may approve Line-2 at Kurnool very soon. Also, understand that limestone, which we acqui red it, comes , then very handy for the sam e. But in terms of the net debt -to-EBITDA framework, what will be the absolute peak? Is it 3x? Is it 2.5x? How should when I look at it?

Management : Ideally , it will be 2x. That is how I want to work.

Navin Sahad eo: Okay. Understood . That's really helpful. Thank you so much.

Moderator : Thank you. We have our next question from Mr . Prateek Maheshwari . Prat eek, go ahead.

Prateek Maheshwari: Thank you, sir . Thank you for the opportunity. Sir, I have one question re lating to your east operations. So, just wanted to understand, sir, over the last 2 years, how's the presence in the other markets, apart from your South West Bengal, like for the Jharkhand, Bihar and North Bengal, which was planned to kind of you will expand your presence . So how has that shaped out like has the share of your volumes in east has increased in these mark ets and what is happening there?

Another question , sir, just wanted to understand since you are saying that you do not have lot of reserves in other markets apart from the Karnataka . So what is your perspective on inorganic expansions? There are a lot of assets that have come in , but we have rarely seen your participation for these assets. Apart from this just recently bought Prism . So just w anted to understand , sir, yo ur perspective on both aspects.

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Management : We have bought land only from Prism is only land and not acquired any plan t.

Prateek Maheshwari: Yeah, c orrect , sir.

Management : I cannot say this inorganic expansion; it is only land with limestone .

Prateek Maheshwari: Correct , sir, that's the reason , sir, like a lot of assets, other assets which have also been bought in by your peers at attractive valuations , but we have not seen your participation while you have a very solid brand to enter any other region as well . So just wanted to u nderstand from these two points.

Management : So at any point of time whenever we internally assess whatever we are seeing, whatever the incremental investment in our own area in both Tamil Nadu versus Andhra Pradesh is going to be much cheaper than whatever available inorganically . Then, organically when you can grow with some \$40 or \$50 , to pay \$120 or \$130 for inorganic expansion , which is going rate today in the market does not look attractive . That is the only main reason .

Prateek Maheshwari: But, sir, that would help you improve on the concentration that you have with your south plants, right?

Management : I agree with you. At the same time, whatever the capacity we are able to fill up, we expand it from 12 million to 22 million tons, we are able to grow . I have growth opportunities . What is wrong

in growing in this area? A nother thing I will tell you, see, 1980s and 1990 s were era of South. The south was growing almost by 14 %, 15%. At the t ime, northern states are growing only in single digit . See, afterwards southern states, we may have political instability , or there's no good leaders in this area. So to that extent , the growt h in south has come down.

But in my view , the glory of south wi ll come , where we will have double -digit growth . Once the double -digit growth comes, then whatever growth possibility by Ramco C ement can be absorbed in the market.

Prateek Maheshwari: Yeah. Got it, sir.

Management : Prateek, See, in about 15 to 20 years from now, you look at only north and south will be producing cement predominantly . Rest of the regions will only consume cement from these two r egions. Central to some extent.

Prateek Maheshwari: Got it, sir. Would you also comment on the part that I asked for the east market, sir? How is that panning out your presence? Are you expanding your presence into Jharkhand, Bihar , basically West Bihar and North Bengal?

Management : Not much.

Prateek Maheshwari: Not much is happening.

Management : See, when we ha ve gone for Bengal , at that time we are doing by ship also . There are certain strategic reasons why we have gone for Bengal as well as Orissa . Southern Orissa is very near to our plant, our Vizag grinding unit. That is the reason we expanded Vizag grinding and we double d our capacity.

In addition , we are largely present in South Orissa and the Coastal Orissa . In addition, Bengal , this is the plant , where they have given us land inside the thermal plant. Where at that time they were promising lot of fly ash available, almost free. These all the reasons we gone for that . At that time , they were promising me unlimited availability of the fly ash .

Prateek Maheshwari: Okay, sir. Got it. Thank yo u, sir. Those are my questions.

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Page 16 of 16 Moderator : Thank you. We have a follow-up question from Mr. Rajesh Ravi. Rajesh, please go ahead.

Rajesh Ravi: Yeah, Sorry, sir, missed again on this volume commentary. What you answer to an earlier participant. So first up you grew almost 30% plus. So what is the outlook for the full year you are looking at, sir?

Management : We will be doing around 18 million tons minimum.

Rajesh Ravi: Okay, sir. So 20% volume growth, what you are looking at for the full year?

Management : Yeah, 18 plus.

Rajesh Ravi: Okay sir, this wind, are we booking any sales revenue now or it is totally getting consumed captive?

Management : I told you, 100% captive from June.

Rajesh Ravi: Now it is 100% captive from June quarter itself.

Management : June 1st.

Rajesh Ravi: Okay. 1st June.

Management : But generation will be peak only this quarter. Third quarter will be very weak.

Fourth quarter, there will be some generation.

Rajesh Ravi: Okay, understood. Yes, generation generally peaks out in September quarter.

Management : When I told you this quarter, the second quarter.

Rajesh Ravi: Yes. Great, sir. That is all from mine. Thank you.

Moderator : Thank you. As there are no further questions, I hand over the call to the Ramco Cement management for their closing comments. Over to you, sir.

M.F.Farooqui : Yeah, I think we had a wonderful interaction, and I must thank all of you for your active participation and all the queries, which you have raised. I think we believe in transparency, and we hope that we would have answered all your queries to the best of your satisfaction. Therefore, we would now like to close this meeting, and I would once again like to thank all of you and wish you all a very happy Diwali. Thank you.

Moderator : Thank you, sir. On behalf of ICICI Securities Limited, we thank you for joining us

on this call. Thank you and Happy Diwali. Thank you.

Disclaimer

This transcript is based on the best available information at the time of transcription and has been modified to reflect the correct picture. The Company shall not be liable for any errors, omissions, or inaccuracies in the content. This transcript may include forward-looking statements that involve risks and uncertainties. Actual results may differ materially from those indicated in such statements. The Company undertakes no obligation to update or revise these forward-looking statements to reflect events or circumstances that may arise after the date of this transcript.

## Call: Feb 2024

Corporate Office:  
Auras Corporate Centre, V Floor,  
98-A, Dr. Radhakrishnan Salai , Mylapore,  
Chennai – 600 004, India.  
Phone: +91-44 28478666, Fax: +91- 44 2847867 6  
Web Site: [www.ramcocements.in](http://www.ramcocements.in)  
Corporate Identity Number : L26941TN1957PLC003566  
Registered Office: “Ramamandiram”, Rajapalayam – 626 117. Tamil Nadu  
THE RAMCO CEMENTS LIMITED

16 February 2024

National Stock Exchange of India Limited,  
Exchange Plaza,  
Bandra- Kurla Complex,  
Bandra (E), Mumbai – 400 051.  
Symbol : RAMCOCEM  
BSE Limited,  
Floor 25, “P.J.Towers”,  
Dalal Street,  
Mumbai – 400 001.  
Scrip Code: 500260

Dear Sir,

Sub: Transcript of the Audio Recording of Q3FY2024 Earnings Conference Call

Ref: Disclosure under Clause 15(b) of Para A, Part A of Schedule III, read with Regulation 30 of SEBI (LODR) Regulations, 2015.

In co ntinuation of our letter dated 9th February 2024 , providing you the weblink of the Audio Recording of Q3FY2024 Earnings Conference Call , held on 09.02.2024, organised by B & K Securities, we attach the transcript of the conference call and the same is also made available at –

[https://ramcocements.in/cms/uploads/Earnings\\_call\\_transcript\\_for\\_Q3\\_FY\\_24\\_d6752f9fc0.pdf](https://ramcocements.in/cms/uploads/Earnings_call_transcript_for_Q3_FY_24_d6752f9fc0.pdf)

Thanking you,

Yours faithfully,  
For THE RAMCO CEMENTS LIMITED,

K.SELVANAYAGAM  
SECRETARY

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“Ramco Cements Limited  
Q3FY202 4 Earnings Conference Call”

February 09, 2024

ANALYST : MR. AMIT SRIVASTAVA – BATLI VALA & KARANI  
SECURITIES INDIA PRIVATE LIMITED

MANAGEMENT : MR. M F FAROOQUI – CHAIRMAN - RAMCO CEMENTS  
LIMITED

MR. A. V. DHARMAKRISHNAN – CHIEF EXECUTIVE  
OFFICER - RAMCO CEMENTS LIMITED

MR. S. VAITHIYANATHAN - CHIEF FINANCIAL OFFICER  
- RAMCO CEMENTS LIMITED

Ramco C ements Limited

February 09, 202 4

Page 2 of 18 Moderator: Ladies and gentlemen, good day and welcome to Ramco Cements ' Q3 FY2024 Earnings Conference Call hosted by Batli vala & Karani Securities India Private Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conf erence call please signal an operator by pressing “\*” then “ 0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Amit Srivastava from B&K Securities India Private Limited . Thank you and over to you Sir!

Amit Srivastava : Thank you Manav. Good afternoon everyone. On behalf of B&K Securities, welcome you all to the Q3 FY2024 Earnings Conference Call of the Ramco Cements. We would like to thank the management for giving us the opportunity to host t he call. We have with us from the management Mr. M F Farooqui , Chairman, Mr. A. V. Dharmakrishnan, CEO; and Mr. S. Vaithiyanathan, CFO . We w ill start the call with the opening remarks from the Chairman, Mr . M F Farooqui which will be followed by the Q&A. O ver to you Sir !

M F Farooqui : Thank you very much. A very good afternoon to all of you. On behalf of Ramco Cements, I very warmly welcome you all to the earnings call of the Ramco Cement s to discuss the unaudited results for third quarter for the year 2023 -24. We

hope you would have seen our  
results and updates by this time .

The cement demand was affe cted due to heavy rain in Tamil N adu and Andhra Pradesh due to cyclone in December 2023. The cement prices have been under pressure during this quarter. The key highlights of our performance for the current quarter is sale of cement has improved by 10%, the share of premium products have improved to 27% from 26% in the corresponding period. The cement utilization rate for the current quarter is 74% as against 70% in the corresponding period. Net revenue for the current quarter has grown by 5% ; EBITDA for the current quarter is Rs.402 Crores as against Rs.294 Crores in the corresponding period. EBITDA margin for the current quarter is 19% as against 15% in the corresponding period. Blended EBITDA per ton for the current quarter is Rs. 1007 as against Rs. 808 in the corresponding period with a growth of 25%.

Coming to fuel prices , the current spot CIF price of pet coke is \$118 to \$120 and the pet coke prices are key to w atch. Our pet coke consumption for the current quarter stands at 51% for the current quarter . The reduction in fuel prices and change in utility of sale of wind power to captive use has helped us to reduce the overall power cost . During the

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Page 3 of 18 quarter, the com pany had increased the clinker capacity by 0.65 MTPA at Kolimigundla and 0.35 MTPA at Ariyalur through pyro process optimization. With this, the installed capacity of clinker stands at 16 MTPA. Our in-house team had carried out the de-bottlenecking activitie s that included design, engineering and execution. The company has identified the opportunities for debottlenecking of cement capacity aggregating to one MTPA. The company prop oses to establish a WHRS of 10 MW capacity at its RR Nagar plant at a cost of Rs .153 Crores, which is to be commissioned by March 2025. The company is in the process of getting necessar y statutory permissions. W ith establishment of WHRS at RR Nagar, the aggregate in stalled capacity of the company' s WHRS would increase from 43 MW to 53 MW by FY2025.

The company proposes to double the clinker cap acity in Kolimigundla to 6.30 MTPA and double the cement capacity to 3 MTPA with 15 MW of WHRS at an estimated project cost

of Rs.1,250 Crores. This expansion is scheduled to be commissioned in FY2026. Consequently, the aggregate installed capacity of the company would reach 19 MTPA for clinker and 26 MTPA for cement. The aggregate WHRS capacity would further increase to 68 MW by FY2026. In Kolimigundla TPP of 18 MW will be commissioned in March 2024 and railway siding will be commissioned in June 2024. The capacity of dry mix products in AP and Odisha will be commissioned during March 2024. Expansion of grinding plant from 0.9 MTPA to 1.8 MTPA in Odisha will be commissioned in March 2024.

During Q3 FY2024, the company has incurred Rs. 385 Crores towards ongoing capex, earlier we had guided Rs.900 Crores for FY2024 which was subsequently revised to Rs.1,600 Crores consequent to the acquisition of mining lands from Prism Cement among other capex. Now, the guidance is further revised to Rs.2,000 Crores for FY2024 given the capex incurred for de-bottlenecking and increased momentum of land acquisition for Bommanahalli project. The capex guidance for FY2025 will be Rs.1,700 Crores which will be funded predominantly through internal accruals.

The net debt is as on December 31, 2023, is Rs.4,993 Crores including working capital borrowings and the net debt to EBITDA is at 3.22 times. The average cost of debt for the nine months FY2024 is at Rs.7.82% as against 6.16% in nine months of FY2023 due to increase in the market rates. With the foregoing remarks, I hand over to my other colleagues to take you further on the details of the current quarter's performance. Thank you very much!

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Page 4 of 18 Management : Hello everyone. This is Vaithianathan here. I would like to give a brief on borrowings for the benefit of all. Our peak borrowing was around Rs.3,000 Crores in the year FY 14. At the time, our capacity was 12 MTPA. Our sale was 9 million ton per annum. Our average EBITDA for the five years period that is from FY10 to FY14 was Rs.840 Crores. Our average net debt to EBITDA was 3.5 times for said five-year period. From FY 19 to FY24 we started spending capex for the capacity additions. We have spent so far about Rs.9,800 Crores towards that. Now our Cement capacity is 22 million ton an increase of about 83% from the level of 2014. Our annual sale volume now is to reach 17 million ton an increase of 88% from the year 2014. Our average EBITDA for five-year period that is FY 20 to FY24 is Rs.1,400 Crores. Our average net debt to EBITDA is still 3.5 times only, which has not increased. To increase the capacity from 12 million ton to 22 million ton we have spent about Rs.9,800 Crores so far, out of which Rs.7,800 Crores were from free cash flow from operations for the said period whereas our borrowings have increased only by Rs.2,000 Crores since 2013-14. This I would like to bring to your notice of all. Over to question and answers please.

Moderator : Thank you very much. We will now begin the question and answer session. We have our first question from the line of Parth Bhavsar from Investec. Please go ahead.

Parth Bhavsar: I have two questions. Considering the capex that you announced in Kurnool taking that into consideration what would be a peak net debt going ahead?

Management : The peak debt will continue to remain same because we have planned to meet the capex through internal accruals predominantly.

Parth Bhavsar: So it would be Rs.5,000 Crores?

Management : Yes.

Parth Bhavsar: Okay.

Management : Because we expect free cash flow of around Rs.1,700 Crores in the FY25.

Parth Bhavsar: The other thing is on volumes, what is your volume guidance for Q4 and FY2025?

Management : Q4 will be around 5 million ton, so 17.5 million ton for the full year.

Parth Bhavsar: How much?

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Page 5 of 18 Management : 17.5 million ton for the full year and 5 million ton for Q4.

Parth Bhavsar: FY2025?

Management : For FY25, it will be around 19 to 20 million ton.

Parth Bhavsar: I guess our Kcal cost has declined to 1.64 so how do we see that going ahead in Q4?

Management : Q4, it will remain same or may come down marginally, so for all practical purposes you can assume the same cost per ton.

Parth Bhavsar: There would not be any benefit coming from PLF 25%? Would that increase not going ahead?

Management : The wind power PLF of 25% is the normal, so that will not increase. So, the 25% PLF is only for wind power capacity.

Parth Bhavsar: So this would not increase going ahead?

Management : That remains the same because the wind pattern for over a long period of time the average PLF is coming only at 25%.

Parth Bhavsar: Thank you. Those are my questions. Thank you for answering.

Moderator : Thank you. We have a next question from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah : Thank you, sir. Again coming back on the capex front I listen to your opening remarks that you mentioned about the historical numbers I just wanted to add my numbers to that, so in last seven years from FY 19 to FY 25 if I look at the capex we spend 12,173 odd Crores and the capacity that we will be adding by FY2025 would be 7.2 million ton so that is close to 1,700 Crores per year and 1,700 Crores per million ton and this will be the third year where we are increasing our capex guidance, so if you can help us in terms of why this is happening so in FY2022 -2023 and this 2024 and what gives us

the confidence that for

whatever the capex we have said for FY2025 also will not further increase ?

Management : See the increase in capex for the current year is mainly due to the addition of mining land and we also started buying lands for the Bommanahalli project.

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Page 6 of 18 Shravan Shah : Sir my point was that the kind of capex we are doing per year or per million ton is one of the highest in the entire industry and I understand the pricing and the volume is not in our control it is the market driven, but in terms of the cost efficiencies if somebody has to look at that if we are spending so much then our efficiency or the capex per ton should be much, much lower, which is not the case if we look at the historical numbers our cost have rather increased definitely because of the power and fuel cost that is the case, but despite that also it is not reflected, so just trying to understand why we are doing a such a high capex and compared to the states, so in terms of the per ton if you look at is a \$200 per ton versus all other players are putting at \$70 to \$80 per ton, so at least it should result in a better efficiency and our profitability has to be a much better which is not the case, so that is the point I just wanted to put forward ?

Management : No, whether \$200 or \$70 you have to see what are the facilities that are created at day number one. See in earlier cases if you see our capacity is much lower because the railway siding, the colony as well as the waste heat recoveries, thermal plants, all these things are added over a period of time. Whereas for Kurnool plant, all the facilities are created day number one. That is why the initial capex seems to be high compared to others. Normally the companies will add all these capacities over a period of time and not the day number one. Now the trend is for green energy. Unless I invest that I cannot be competitive so you should understand that, that is why even though for first phase we spend over 3,000 Crores, for the same capacity second phase is going to be only 1,250 Crores because already all the infrastructures we have created. Most of the benefits we can see in the coming years

Shravan Shah : Got it Sir. Thank you. All the best.

Moderator : Thank you Sir. We have our next question from the line of Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo : Thank you for the opportunity. Sir I would request if you can give the breakup of the capex like this year the revision I can understand as you said is for the land that you are buying so 1,600 Crores becomes 2,000 Crores, but next year what is the breakup for 1,700 Crores because if the capex is 1,400 odd Crores 1,250 for Kurnool line two which is again spread over two years which is 2025 -2026, so broadly let us say 700 Crores each year then what is the extra 1,000 Crores that you are budgeting for if you can just help me understand that ? Thank you.

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Page 7 of 18 Management : See next year, the major capex for FY25 include Kurnool second line we have budgeted 750 Crores, land for Bommanahalli we have budgeted for around 200 Crores, maintenance capex 300 Crores, balance left over Kurnool line one project 200 Crores, RR Nagar WHRS 150 Crores.

Navin Sahadeo : Understood that is helpful. So that one important point, which you said, is that the net debt has peaked out at 5,000 Crores is that a commentary that you are firm on that net debt is peaking out at 5,000 Crores.

Management : Yes.

Navin Sahadeo : Can I request your comment on this same thing sustaining even if we were to look at Bommanahalli project because there if the land acquisition is at a blazing pace would it also mean that we are looking at that project announcement in the coming one to two quarters or it could be keeping in mind that net

ebt does not really go beyond this , how is the thought process on that?

Management : First, we will complete the land acquisition for Bommanahalli , that the announcement with regard to plan t thing we will come after the B oard approval is done. I t will take minimum 18 months and a nouncement will come at minimum 12 to 18 months.

Navin Sahadeo : So in that case there is fair amount of certainty that net debt will remain in this range and as the company improves on EBITDA net debt to EBITDA will only improve from here on is that a correct understanding ?

Manag ement : See Navin, our plan is to make sure that our free cash flow from operations will be used for capex, so we do not propose to add more borrowings for capex that is the idea that we are carrying on.

Navin apart fr om that , we told you a number of times there are certain non -core assets we want to monetize, see already we identified certain noncore assets, but because of political situation, we do not have the right value. If I get the right value definitely, we can m onetize to the extent of 500 -600 Crores. If necessary, I will use that for my projects, s o with that we are very confident the net debt will not go beyond 5 ,000 Crores.

Navin Sahadeo : Yes, sure and I think the Kurnool line two will also have some more effici ency because of the mines that we are trying to utilize further .

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Page 8 of 18 Management : Yes, you are right that is why we are very confident that free cash flow will meet the capex requirements.

Navin Sahadeo : Just one last question. This shift from windmill to capti ve purpose, so are all the benefits captured into the base for the quarter or there is some amount ?

Management : This year three q uarters benefit only we got because we started doing it from July. Next financial year we will get a full benefit.

Navin Sahadeo : I appreciate that, I was only checking because it is seasonal I believe that business is seasonal it is Q2 and Q3 heavy or how should one look at it ?

Management : See any way it is whatever power generated is banked so as and when it is required it is used.

Management : The power generatio n normally is between May 15th and September 15th.

Navin Sahadeo : Fair point so we can expect better performance, but great. Thank you so much for the clarification on capex that will really help. Thank you.

Moderator : Thank yo u Sir. We have our next question from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka : Good afternoon. Sir just on the question of the peak debt and capex so while I see that your EBITDA is about close to quarterly EBITDA is about 400 Crores so like if I just take analyze of that 1 ,600 Crores plus and out of that you have to pay about 400 Crores in interest about another 100 Crores in dividend and 500 -550 has actually gone, s o we have actually left with like 1 ,000 odd Crores , so how will we manage with same level of debt then are we either expecting prices to go up or like we can think of like big non -core assets is as you said of maybe 400 -500 Crores ?

Management : Of course next year volume will also go up definitely, we would like to increase volume by another 2 to 2.5 million tons of volume.

Amit Murarka : But you do not have capacity to do that. Y our clinker utilization is 90% ?

Management : We have capacity . We can go up to 22 million tons serving capacity so this year we will reach 17.5 another 2 -3 million tons capacity is still available.

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Page 9 of 18 Amit Murarka : What is your clinker utilization for nine months clinker volumes production?

Management : Clinker volume production is around 10.5 million.

Amit Murarka : Also, could you quantify the impact due to the flooding in Tamil Nadu how much volume was lost because of that ?

Management : Around 3 lac tons not necessarily only fl

ood alone because there was flood and Diwali

holidays, Pooja holidays, see all these things come together coupled with monsoon. See if you take first six months we have done almost 4.5, 4.5 each a nd third quarter we have done 4. So the differ ence is only because the floods, also holidays, monsoon, and the next quarter we are confident that we will do 5 million.

Amit Murar ka: Generally like what we have been hearing is that prices have c orrected very sharply actually so like what is exactly the problem there like now we are in t he peak demand period actually s o any sense you can give on that ?

Management : The pr ices are depe nding upon players. W e are confident that the prices will come back .

Amit Murarka : Sure. I will come back in the queue. Thanks.

Moderator : Thank you Sir. We have our next question from the line of Satyadeep Jain from Ambit



Capital. Please go ahead.

Satyadeep Jain : Thank you. The first question is on the capex. You have outlined the details for FY 25. As we look at FY 26 given you would not have any pending capex from Kurnool one the land acquisition should be more or less be complete so do we see a steep drop in capex in 2026 do you have continued land acquisition and any other pending capex?

Management : We have given guidance for 2025. For 2026 we will discuss later.

Satyadeep Jain : The timeline for completion I think in the previous call you had mentioned that the new line can come in 12 to 15 months we will be looking at now about two years is it may be possible ?

Management : Because we are yet to get environmental clearance , now it will be taking little more time than before given the elections in three months and other practical aspects, we are providing the outer limit now.

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Page 10 of 18 Management : We are also planning to align our capex to our cash generation that is also to keep it in mind if we speed up the capex the borrowing will go up.

Satyadeep Jain : Just lastly, on the volume that you have seen in January have you been able to recoup some of that loss in, how is the trajectory is being so far ?

Management : I told you know we will do 5 million tons then you can understand whether you can recoup or not.

Satyadeep Jain : Thank you so much Sir and wish you all the best.

Moderator : Thank you Sir. We have our next question from the line of Vikram from Vikram Securities . Please go ahead.

Vikram : Good afternoon, gentlemen and congratulations again on a great set of margins at least.

Management : Thank you. You are the first person to congratulate before asking about capex and borrowings. Thank you very much.

Vikram : I saw some things, which were very nice to me. Sir, all these questions were answered about the volume . Only one thing then is I noticed that you have introduced ESOP program is that a first for the company or is it first for the year ?

Management : We had ESOP program already in place in the earlier years. We have 12 lakh options reserved and out of that to my knowledge we have already granted around 7 lakh options.

Vikram : Thank you sir. Thank you very much.

Moderator : Thank you Sir. We have our next question from the line of Hrishikesh Bhagat from Kotak Mutual Funds. Please go ahead.

Hrishikesh Bhagat : Good afternoon. Thank you for this opportunity. Just want management sense was that we ever consider probably pushing back this capex in the sense the sense of urgency I just wanted to understand the sense of urgency because if I take your earlier comment we have reasonable runway to reach 22 million ton volume, if you can help me understand why this so urgency in this capex in the sense that had we done it one year down the line the deal if balance sheet would have been much better so if you can help me understand that will be helpful ? Thank you.

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: No, that is why we are very clear, and we told we are not going to complete it in one year, we told we would complete in two years. Now, I have to make an application for environmental clearance. If I had to make application for environmental clearance, Board resolution is necessary. If I pass the Board resolution, I have to intimate to stock exchanges. So unless I pass the Board resolution announced today even I cannot complete the project in 2 years time. So I am not rushing in fact these things are necessary today because the environment clearances take lot more time than used to be before. So that is why clearly we told it should be completed by 2026. So till 2026 we have enough capacity to cater the market needs. So from 2026 onwards we should be ready now so that is why. In fact it is not that we are rushing in, it is well planned, well organized only.

Hrishikesh Bhagat : No I just feel that probably considering Brownfield , the gestation period should be shorter ?

Management : Only land purchase is not there but in fact the environmental clearances, the public hearing, all the procedures are same and no less for brown field.

Hrishikesh Bhagat : Sure thank you.

Moderator : Thank you Sir. We have our next question from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia : Yes, good afternoon. Thank you Sir. Just few clarifications. With regards to the timeline we are expecting end of FY2026 for this expansion completion ?

Management : Yes.

Sumangal Nevatia : In this 1,700 Crores capex for next year which you have guided how much of this 1,250

Crores will be included in that ?

Management : I have already mentioned that Rs.750 Crores was included for next financial year for Kurnool Line-2.

Sumangal Nevatia : Generally for our asset base, what sort of maintenance capex should we expect on an ongoing basis ?

Management : 200 to 250 Crores per annum.

Sumangal Nevatia : Understood, all right . Thank you. That is all from my end.

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Page 12 of 18 Management : Last year the maintenance capex also little bit more because we have de-bottlenecked and we created capacity almost 1 million ton, we have proposed to create another 1 million ton also. That is why even capex and Opex whatever mentioning is high.

Sumangal Nevatia : Got it. Thank you.

Moderator : Thank you Sir. We have our next question from the line of Raghav Malik from Jeffries.

Please go ahead.

Raghav Malik : Thank you for the opportunity Sir. Just wanted some color, if you could be a bit specific on what we are seeing on pricing maybe overall as well as specifically to the South and the East, if you could give us some color on that ?

Management : The prices are volatile. So I can not give a proper guidance on the prices. In fact, we are one of the last to give the call so whatever guidance given by my colleagues in different companies that will be my guidance; it cannot be different from others.

Moderator : We have our next question from the line of Parth Bhavsar from Investec. Please go ahead.

Parth Bhavsar : Thank you for the opportunity. Sir, I did not catch the number that you mentioned on the sales volume lost during the quarter, the potential sales volume was it 3 000 tons ?

Management : Sorry, I could not understand your question.

Parth Bhavsar : You mentioned a number potential volume lost during Q3 because of cyclone and rain?

Management : First quarter we have done 4.3, second quarter we have done 4.6, normally third quarter also we should have done 4.5 that was our plan. We could not do that because rains in Chennai also entire Southern districts which is our core market that was under water almost for 15 days, so that is one of the reasons then general monsoon across our markets, third is number of holidays in East as well as South Pooja holidays and Diwali

i. These things affected our

sales, but if you see the corresponding year of last year definitely we have grown, in spite of rains and holidays, all these things if you see year-on-year definitely we have grown even though the monsoon was very vigorous, and our core market has affected.

Parth Bhavsar : Second question is on the de-bottlenecking we have de-bottlenecked approximately 1 million ton of clinker so what would be the cost like what have we spent on this?

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Page 13 of 18 Management : It will be difficult to quantify to tell because we have spent it in different factories.

Parth Bhavsar : Correct me if I am wrong, I just pulled this one presentation from Q2 FY2023 so there we had spelled out like our capex plans and that included approximately 250 Crores of towards Bommanahalli land acquisition so when we revised our capex to 1,600 did not that include Bommanahalli land acquisition am I missing something ?

Management : See, sometimes you may have to quickly buy the lands when it is offered. Sometimes if the lands are offered in bulk you have to quickly act and complete the buying, otherwise it may turn to be difficult later. See land purchases sometimes even two months, three months we may not be able to buy. Sometimes we may have to accommodate the request of land sellers to meet their urgent financial commitments. Land acquisition is the most difficult job in setting up of a manufacturing unit. So exact guidance it is difficult because we have to buy huge land parcel, so the efforts are continuous and whenever the opportunity comes, we need to act fast to complete the land purchase activity depending upon the situation.

Parth Bhavsar : This 500 Crores of incremental spend that is towards Bommanahalli land acquisition is this over and above your 250 Crores mentioned earlier ?

Management : Sorry, I do not correlate the earlier numbers right now.

Parth Bhavsar : Done Sir. Thank you so much.

Moderator : Thank you Sir. We have our next question from the line of Rajesh Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi : This is Rajesh Ravi here from HDFC Securities. Sir my question pertains to your clinker utilization. Clinker utilization you mentioned 10 million ton production which is 9 months works out to be 90 % utilization and this year you are targeting around 17.5 ton cement production right full year so next year at what sort of volume number you are looking at, is it 20 million tons or around 15%-20% volume growth?

Management : 19 to 20 million ton we have projected.

Rajesh Ravi : So there you would be close to 100% clinker utilization is this understanding correct because for 9 months the blend...

Management : It depends on the blending ratio.

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Page 14 of 18 Rajesh Ravi : Correct, so 9 month it is coming out close to 1.38 so how do you plan to take your blending ratio up?

Management : It depends on the market condition. Debottlenecked capacity is 1 million ton is coming up now which we have completed only now that is available for us.

Rajesh Ravi : So for next two years we will be having the 16 million ton clinker to rely upon ?

Management : See this until 2026 this 19 million ton will be good enough to meet the market demand.

Rajesh Ravi : This premium cement share ratio came down to 20% in this quarter any specifics ?

Management : Not came down . It is increased.

Rajesh Ravi : I think in the preceding quarters you have given 28% number June and September quarters ?

Management : Please go through my presentation everything I have clearly covered.

Rajesh Ravi : Because I have noted down 28% for June and September that is why I was surprised maybe I will recheck my numbers.

Management : The premium products have improved to 27% for the third quarter as well as for 9 months .

Rajesh Ravi : Lastly on the balance sheet you are comfortable with this net debt to EBITDA for 5,000

Crores because why I am looking at see you said in 12 months it will be coming up 12 to 18 months it will be coming up for the Karnataka expansions , so that is I assume somewhere in FY2026 this project may start so that year also you may have major capex coming through so this net debt to EBITDA number may not meaningfully come down is that understand, you may be comfortable close to 2.5 -3x?

Management : Net debt to EBITDA in percentage terms to come down but absolute borrowing numbers will remain same.

Rajesh Ravi : Understood.

Management : Last 50 years not even single day there was a delay in repayment of loan.

Rajesh Ravi : No, that is for sure right.

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Page 15 of 18 Management : We are fully conscious of our leverage, so we will maintain, that is why I was telling to you again, and again we have such non-core assets necessary I can monetize that if required .

Rajesh Ravi : What is the potential of those non -core asset monetization Sir, which you are able to do that?

Management : If necessary I can monetize non-core assets like wind power assets by selling upto 74 % stake .

Rajesh Ravi : If you sell out the 74% stake will this not increase your green power costing then ?

Management : I have seen the opportunity cost; suppose I am selling to the grid I used to get Rs.3. Even otherwise, see the windmill what we are managing before I have thermal plant. Even today 100% of production capacity is backed by thermal plant because at wind power even I have shut down some of my thermal plants. Necessary with wind power also if the coal price comes down see before 2021 -2022 my cost of generation was less than Rs.3 that is why we were selling to the Board and making some profit , now the cost of generation gone up because the coal prices gone up. See these are all opportunities already we created enough assets, so I am qualifying if necessary we do not mind monetizing some of the assets, noncore assets.

Rajesh Ravi : Thank you Sir. I will come back in queue. All the best.

Moderator : Thank you Sir. We have our next question from the line of Aditya Chheda from In Cred Asset Management. Please go ahead.

Aditya Chheda : If I understood correctly, monetization of these non core assets will not be a priority will do it only if you feel the requirement to do so?

Management : You are right.

Aditya Chheda : Got it and next one we have seen a sharp bump in other expenses, so is there any one -off there or if you could highlight what led to this ?

Management : There are no one -off items. If you look at the absolute numbers, it is about 30 Crores for Q3 YoY; for Sequential quarter, it is only Rs.11 Crores. In some quarters, certain expenses will be there, in some quarters such expenses may not be there. So on a per ton basis if you look

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Page 16 of 18 at because of the lower volume in the current quarter it looks little higher whereas if you look at the absolute value there may not be big variations.

Aditya Chheda : Got it thank s. That is it from me.

Moderator : Thank you Sir. We have our next question from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah : Yes, thank you for the opportunity again. Sir this 1 million ton debottlenecking so will it be at any one or two plant s specifically or across the plants ?

Management : We have mentioned in the investor update that it is done in two plan ts.

Shravan Shah : No Sir I am not asking about clinker I am saying grinding we said 1 million ton grinding debottlenecking we are looking at , so this will be across t he plan ts or any specific plant ?

Management : The de -bottlenecking opportunities of cement capacity are identified in both grinding and integrate plants as well.

Shravan Shah : In t

he presentation we have said, currently we have a 22 million, Odisha 1 million ton will take up to 23 then 1 million ton will be a debottle necking and then in F Y2026 we have return a 2 million ton, but Kurno ol we have mentioned 1.5 ?

Management : We have rounded it up . I am also saying even with some blending ratio changes , not even 0.5 million, we can also increase it by 1 million.

Shravan Shah : Yes, I got the po int. Sir I just have one clarification you said 3,000 acres you need to buy for Bommanahalli land so total how much we have already spent on that and what would be the likely total cost or how many acres we have already acquired ?

Management : The cost per acre details cannot be given. Please appreciate th at. I can tell you the total number of acres required.

Shravan Shah : Got it and then lastly on the in terms of the prices so currently in January until now February broadly if I have to look at in South and is where we operate how much prices would have de clined versus the average of the third quarter broader range would be a fine ?

Management : The price drop is around Rs.5 to Rs.10 per bag across the market different markets  
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Page 17 of 18 Management : What is drop or what has gone up depends upon relative terms see sometimes we have to increase the invoices that method also affect us, that is also called as drop. See that is why I told you it is very difficult to give the guidance for cement prices and even tomorrow, the prices can go up depending upon the demand and supply, depend ing upon different markets. In some markets , prices have gone up; in some markets , it has come down.

Shravan Shah : Got it Sir, thank you, all the best.

Moderator : Thank you, sir. We have our next question from the line of Navin Sahadeo from ICICI Securitie s. Please go ahead.

Navin Sahadeo : Yes, thank you for the follow up. First on the volumes, the mix between South and East has broadly remained same at about 75 :25 and t he overall volume growth is 10%, s o does this imply that we are gaining market share in E ast because that region I think is not showing a positive trend at least for Q3 I think there w as a dip ?

Management : For Q3 the volume growth is 10 % wheras for 9 MFY24 it is 25 %. We have grown in a ll markets except West Bengal . To add that , please do not look at one quarter to see the market share .

Navin Sahadeo : Yes, helpful and just last question, sorry, I did not follow the previous participant 's question very clearly. My point just to ask was the 16 million ton clinker that we are saying so does it has more scope of de-bottle necking over a period ?

Management : There i s no big scope , but we can try another 0.5 to 1 million at the best .

Navin Sahadeo : That is good enough, great. Thank you. Thank you so much.

Moderator : Thank you. That was the last question f or today and I now hand the conference over to management for the closing remarks. Over to you !

Management : Thank you very much for all the participants for their active participation and we hope that we would have given our reply clearly and transparently. I wish you all the very best. Thank you very much.

Moderator : Thank you! On behalf of Batlivala & Karani Securities, that concludes this conference.

Thank you for joining us. Y ou may now disconnect your lines .

Ramco C ements Limited

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